ENGLISH FOR INVESTMENT PROFESSIONALS

Investment Management and Banking English

Explain the thesis. Reconcile the numbers. Respect the boundary.



Phil Stilwell

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Eight lessons. Eleven extended conversations.

INSIDE THE BOOK

192 vocabulary entries / 128 reusable phrases
220 extended-dialogue turns / 11 transfer exchanges
Word banks and explained answer keys

Upper-intermediate to advanced (B2-C1). For investment analysts, portfolio managers, investment bankers, and transaction teams communicating in English.

2026 edition

Eight scenarios. Eight skills.

Lessons 1-4 concern managing investments for a client or fund. Lessons 5-7 concern advising a corporate transaction or capital raise. Lesson 8 addresses information boundaries between roles. Neither role is permission to act for the other.

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02 Explaining portfolio positioning and concentration 13

Eight percentage points is not eight percent more | Describe active weights, diversification, and risk limits using a consistent basis.

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A model assumption is not a verified renewal | Present a thesis, answer a skeptical question, and identify evidence that could change the decision.

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The headline value is not the seller proceeds | Reconcile a simplified valuation bridge and distinguish model inputs from verified transaction economics.

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Repeat purchases are not necessarily contracted recurring revenue | Distinguish reported revenue, customer concentration, and future contract evidence in a diligence update.

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A one-and-a-half-times book is not cash received | Distinguish indications, allocations, pricing, and issuer proceeds in an offering update.

08 Protecting the boundary between banking and investment teams 67

A public rumor does not release a private fact | Decline an improper information request and route uncertainty through compliance without confirming confidential details.

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The same number can answer different questions.

Investment discussions require clear labels for whose interests are represented, which figures are comparable, and what remains an assumption. A portfolio thesis, an issuer valuation, and a bank mandate are not interchangeable recommendations.

Name the role

A buy-side team invests for its client or fund. An investment-banking team advises or executes a corporate transaction under its actual mandate. Identify the role before explaining the recommendation.

"Are we assessing this as a portfolio investment or advising the issuer?"

Keep the basis attached

A return needs its period, currency, methodology, and fee basis. A valuation needs its assumptions and a distinction between enterprise and equity value.

"That is the net return for the stated year, not a guaranteed future result."

Show the dependency

A model output is conditional on its inputs. A signed contract, management forecast, and analyst assumption have different evidential status.

"The base case uses management's retention assumption; that input remains unverified."

Protect information boundaries

Being in the same organization does not authorize access to every client or transaction detail. Use the actual compliance process for sensitive information.

"I cannot confirm confidential transaction information; let us route this to compliance."

PROFESSIONAL BOUNDARIES

All people, organizations, cases, figures, and documents in the exercises are fictional. Professional English practice, not investment, tax, accounting, transaction, or legal advice; no offer, solicitation, trading instruction, suitability determination, or return promise. Figures and securities are invented. Models and transaction bridges are deliberately simplified and exclude items unless expressly supplied. Use current law, qualified professionals, actual client mandates, authorization, and compliance controls for real work. Do not enter client or confidential deal information into language exercises.

A five-year objective includes a six-month cash need

A Read the situation

Separate investment objectives, liquidity requirements, and authority before discussing an allocation.

Foundation trustee Nora describes a five-year growth objective for a portfolio. The foundation also needs USD 2 million for a committed payment in six months. Trustee willingness to accept market volatility does not remove that cash requirement. Portfolio manager David is clarifying the mandate; no asset allocation, product selection, or trading authorization has been approved.

PEOPLE / Nora: Foundation trustee | David: Portfolio manager

A CONFIDENT PREFERENCE IS NOT THE WHOLE MANDATE

Ask about constraints without treating the client's willingness to take risk as a complete assessment of financial capacity or liquidity.

Briefing checks

Circle one answer in each item. Use the briefing.

1. Which need has the shorter horizon?

A The five-year growth objective
B An unspecified retirement account
C A ten-year loan not in the case
D The USD 2 million payment in six months

2. What does willingness to accept volatility fail to remove?

A The existence of the portfolio
B The trustee's stated preference
C The manager's role
D The committed cash requirement

3. What has been authorized?

A No allocation or trade has been approved
B A complete equity allocation
C A specific fund purchase
D An unrestricted trading mandate

Answers and explanations: page 85.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

investment mandate

Agreed objectives, constraints, and authority for investment management.

IN USE define the investment mandate

investment policy statement

Document setting out investment objectives, constraints, and governance.

IN USE review the investment policy statement

investment objective

Financial aim the investment strategy is intended to pursue.

IN USE clarify the investment objective

time horizon

Period relevant to an investment goal or obligation.

IN USE distinguish the time horizon

liquidity requirement

Need for funds to be available at specified times.

IN USE identify the liquidity requirement

risk tolerance

Willingness and ability to bear investment risk in the relevant context.

IN USE assess risk tolerance

risk capacity

Financial ability to withstand loss or illiquidity.

IN USE distinguish risk capacity

return objective

Target outcome subject to risk and assumptions, not a guarantee.

IN USE qualify the return objective

capital preservation

Objective of protecting capital under the stated strategy and risks.

IN USE discuss capital preservation

spending policy

Rules governing distributions or expenditure from assets.

IN USE review the spending policy

investment constraint

Limit affecting permissible investment decisions.

IN USE document investment constraints

restricted asset

Holding subject to a relevant legal, contractual, or policy limitation.

IN USE identify restricted assets

Precision check

A five-year objective does not give every dollar a five-year horizon. The committed six-month payment must remain visible in the mandate discussion.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

discretionary authority

Authorized power to make specified decisions without separate approval each time.

IN USE confirm discretionary authority

client governing body

Body authorized to make decisions for the institutional client.

IN USE identify the client governing body

mandate amendment

Authorized change to the agreed investment instructions.

IN USE approve a mandate amendment

cash-flow schedule

Timetable of expected or committed cash movements.

IN USE reconcile the cash-flow schedule

liability matching

Relating assets or cash flows to specified obligations.

IN USE discuss liability matching

suitability assessment

Evaluation against the relevant client circumstances and applicable requirements.

IN USE complete the suitability assessment

clarification request

Question that resolves an unclear meaning or instruction.

IN USE make a targeted clarification request

source attribution

Identification of where information came from.

IN USE preserve source attribution

working assumption

Provisional premise used while information is incomplete.

IN USE challenge a working assumption

scope boundary

Limit of the work or authority being discussed.

IN USE state the scope boundary

action owner

Named person responsible for a specified next step.

IN USE confirm the action owner

check-back

Restatement used to verify that a message was understood.

IN USE complete a check-back

Precision check

This scenario selects no investment. A return objective is not a guarantee, and an intake conversation does not establish trading authority.

Phrases you can actually use

C Notice the language / 1 of 2

SEPARATE HORIZONS

"The growth objective and the committed payment have different time horizons."

CLARIFY LIQUIDITY

"How much must be available, in which currency, and by what date?"

DISTINGUISH RISK CONCEPTS

"Willingness to accept volatility is not the same as capacity to miss the payment."

CONFIRM AUTHORITY

"Which body can approve the mandate and any changes?"

AVOID A GUARANTEE

"That is an objective, not an assured return."

RECORD THE CONSTRAINT

"The six-month payment needs to remain explicit in the instructions."

CHECK COMPLETENESS

"We need the full cash-flow schedule before assessing the proposal."

CLOSE THE INTAKE

"We have clarified requirements, not approved an allocation or trade."

Need versus prefer

Need identifies an obligation or constraint; prefer identifies a choice that may be negotiable.

Target versus guarantee

A target describes an objective; a guarantee makes a much stronger promise and must not be implied.

Available by versus invested until

Available by identifies a liquidity deadline; invested until can imply a different period or restriction.

Phrases you can actually use

C Notice the language / 2 of 2

CLARIFY THE QUESTION

"Are you asking about the finding or the next step?"

INVITE CORRECTION

"Please correct me if I have misunderstood that detail."

ATTRIBUTE INFORMATION

"That is what the current record says; it has not been independently confirmed."

SEPARATE POSSIBILITY

"That is a possibility, not an agreed outcome."

CHECK SCOPE

"That decision sits outside my authority."

PIN DOWN RESPONSIBILITY

"Who is responsible for that specific next step?"

REPAIR MISUNDERSTANDING

"Let me restate the distinction more clearly."

CLOSE AN EXCHANGE

"We agree on the action, the owner, and the point for review."

Reported versus verified

Reported attributes information to a source; verified indicates it has been checked. Do not use the words interchangeably.

Could versus will

Could introduces a possibility. Will commits to an action or predicts an outcome; check whether that certainty is justified.

By versus at

By gives a latest time; at identifies a scheduled moment. State the time zone when people work across locations.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which summary preserves the two horizons?

A Five-year growth objective with a separate six-month payment need
B All assets can be treated as unavailable for five years
C The payment disappears if the trustee accepts volatility
D Six months and five years are interchangeable planning periods

2. What should be clarified before an allocation discussion?

A An assumption that all trustee comments authorize trades
B The cash-flow schedule, constraints, and decision authority
C Only the most attractive recent return
D Which fund has the shortest name

3. Which statement avoids an unsupported commitment?

A The return figure is an objective subject to risk
B The objective is guaranteed because it is written down
C The payment will be met regardless of the assets chosen
D A five-year plan eliminates all loss

4. Which status is accurate?

A A product has been selected and purchased
B The governing body has approved every future change
C Mandate clarification is underway; allocation approval is outstanding
D The manager can execute any trade immediately

Answers and explanations: page 85.

A five-year objective includes a six-month cash need

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

suitability assessment / Risk capacity / time horizon / client governing body / cash-flow schedule / liquidity requirement / return objective / investment policy statement / Discretionary authority / investment mandate

01 **Nora:** The foundation wants growth over five years, and our trustees are comfortable with market volatility. Can we use that as the main instruction?

02 **David:** It is part of the [1] _____, but we also need the obligations, liquidity needs, and decision authority.

03 **Nora:** We have a committed payment of two million US dollars in six months. The rest supports longer-term programs.

04 **David:** That is a distinct [2] _____. We should not give that obligation the same horizon as the five-year objective.

05 **Nora:** I had assumed a five-year plan meant we would not need to discuss any shorter period within the portfolio.

06 **David:** Different obligations can create more than one [3] _____. The plan needs to preserve those differences.

07 **Nora:** Our willingness to accept a temporary loss does not mean we can delay the committed payment if markets move against us.

08 **David:** Exactly. [4] _____ and willingness are related but different questions, especially when a payment cannot simply be postponed.

09 **Nora:** I can provide the payment schedule and identify any other distributions the trustees already expect to make.

10 **David:** A complete [5] _____ will help us assess the actual constraints rather than relying on a single growth target.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 10.

11 **Nora:** One trustee suggested writing an eight-percent return into the instruction so the objective would be unambiguous.

12 **David:** We can clarify the [6] _____, but documenting a target does not make the outcome guaranteed or remove investment risk.

13 **Nora:** The board must approve the policy, and our finance committee can recommend changes but cannot authorize them alone.

14 **David:** Then identify the [7] _____ and the approval route clearly so a committee discussion is not mistaken for a mandate change.

15 **Nora:** We also need to define which decisions you may make once the mandate is actually approved.

16 **David:** Yes. [8] _____ must be explicit; this conversation is not permission for me to trade immediately.

17 **Nora:** The policy document should bring the objective, cash need, restrictions, and governance together in one place.

18 **David:** That is the role of the [9] _____, using the actual agreed instructions and keeping unresolved items visible.

19 **Nora:** I will return with the complete schedule and board requirements before we review any proposed allocation.

20 **David:** Then we can complete the appropriate [10] _____ and mandate process. We have clarified the questions, not selected a product, guaranteed a return, or authorized a trade.

ANSWERS / EXPLANATIONS: PAGE 86

1. investment mandate | 2. liquidity requirement | 3. time horizon | 4. Risk capacity | 5. cash-flow schedule | 6. return objective | 7. client governing body | 8. Discretionary authority | 9. investment policy statement | 10. suitability assessment

A preferred target became an approved instruction

F Say it

A trustee suggests a revised return target in an email. The governing board has not approved a mandate amendment.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

proposal / authority / guarantee / authorized

Trustee: "The revised target is a [1] _____."

Manager: "The mandate amendment is not yet [2] _____."

Trustee: "The board remains the decision [3] _____."

Manager: "A target is not a return [4] _____."

ANSWERS / EXPLANATIONS: PAGE 86

1. proposal | 2. authorized | 3. authority | 4. guarantee

Rehearse with a fixed script

1. Read the corrected intake and distinguish willingness, capacity, liquidity, and authority.

2. Switch roles and state the two supplied horizons and the exact payment amount without selecting an investment.

3. Complete the four-line follow-up with the supplied choices. Check the explanations, then read the corrected exchange twice, changing roles.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Eight percentage points is not eight percent more

A Read the situation

Describe active weights, diversification, and risk limits using a consistent basis.

Analyst Imani reviews a fictional portfolio with a technology weight of 28 percent against a benchmark weight of 20 percent. The difference is eight percentage points. The portfolio holds 40 securities, but several share exposure to the same technology demand driver. Portfolio manager Owen requests a risk review; no supplied rule establishes that the portfolio is compliant or that a trade must be made.

PEOPLE / Imani: Investment analyst | Owen: Portfolio manager

PRECISION BEFORE PERSUASION

A confident positioning explanation should identify the reference point and risk driver. A long holdings list does not by itself establish balanced risk.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What is the technology active weight in percentage points?

A Twenty-eight percentage points overweight
B Forty percentage points underweight
C Eight percentage points overweight
D Eight percent relative overweight

2. Why does forty holdings not settle diversification?

A The benchmark has no technology exposure
B Every holding is necessarily a different asset class
C Several share the same demand driver
D Forty holdings always means no risk

3. What decision has been supplied?

A A guarantee against loss
B A request for risk review
C A mandatory trade instruction
D A confirmed compliance conclusion

Answers and explanations: page 87.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

asset allocation

Distribution of investments across asset categories.

IN USE review asset allocation

portfolio weight

Proportion of the portfolio allocated to a holding or category.

IN USE calculate the portfolio weight

benchmark weight

Proportion assigned to a category in the reference benchmark.

IN USE compare the benchmark weight

active weight

Difference between portfolio and benchmark weights.

IN USE explain the active weight

overweight

Allocation above the specified reference weight.

IN USE maintain an overweight position

underweight

Allocation below the specified reference weight.

IN USE describe an underweight position

percentage point

Unit expressing the arithmetic difference between percentages.

IN USE distinguish percentage points

basis point

One hundredth of a percentage point.

IN USE report the change in basis points

concentration risk

Risk from exposure clustered in a holding, sector, or common driver.

IN USE assess concentration risk

factor exposure

Sensitivity to an identified systematic driver.

IN USE examine factor exposure

correlation

Degree and direction of co-movement under a stated measure.

IN USE assess correlation

diversification

Distribution of exposure across investments or risk sources.

IN USE evaluate diversification

Precision check

28 percent minus 20 percent is eight percentage points, or 800 basis points. The relative increase against 20 percent would be 40 percent, a different measure.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

risk budget

Defined amount or allocation of risk under the investment process.

IN USE use the risk budget

tracking error

Measure of variability of active returns relative to a benchmark.

IN USE interpret tracking error

position limit

Stated maximum exposure to a holding or category.

IN USE check the position limit

rebalancing

Adjusting holdings toward specified target weights or constraints.

IN USE assess rebalancing

stress scenario

Specified adverse conditions used to examine potential effects.

IN USE run a stress scenario

look-through exposure

Underlying exposure identified beyond a fund or wrapper label.

IN USE review look-through exposure

clarification request

Question that resolves an unclear meaning or instruction.

IN USE make a targeted clarification request

source attribution

Identification of where information came from.

IN USE preserve source attribution

working assumption

Provisional premise used while information is incomplete.

IN USE challenge a working assumption

scope boundary

Limit of the work or authority being discussed.

IN USE state the scope boundary

action owner

Named person responsible for a specified next step.

IN USE confirm the action owner

check-back

Restatement used to verify that a message was understood.

IN USE complete a check-back

Precision check

Overweight is relative to a named reference. It does not itself establish a breach, a recommendation, or a guarantee of higher return.

Phrases you can actually use

C Notice the language / 1 of 2

NAME THE REFERENCE

"The technology weight is above the benchmark by eight percentage points."

SEPARATE MEASURES

"That is a weight difference, not an eight-percent relative increase."

EXPLAIN THE DRIVER

"Several holdings depend on the same technology spending cycle."

LOOK THROUGH THE COUNT

"Forty securities do not necessarily mean forty independent risk sources."

CHECK THE LIMIT

"Which mandate limit applies to this exposure?"

TEST THE THESIS

"What happens under the specified demand-stress scenario?"

AVOID A GUARANTEE

"Diversification does not eliminate the possibility of loss."

DEFINE THE NEXT STEP

"We need the risk analysis before deciding whether an adjustment is authorized."

Overweight relative to

Always identify the benchmark or target; overweight without a reference is incomplete.

Percent versus percentage points

A relative percentage change divides by a base; a percentage-point difference subtracts percentages directly.

Could co-move versus will offset

Possible common movement does not establish a guaranteed offset or fixed future correlation.

Phrases you can actually use

C Notice the language / 2 of 2

CLARIFY THE QUESTION

"Are you asking about the finding or the next step?"

INVITE CORRECTION

"Please correct me if I have misunderstood that detail."

ATTRIBUTE INFORMATION

"That is what the current record says; it has not been independently confirmed."

SEPARATE POSSIBILITY

"That is a possibility, not an agreed outcome."

CHECK SCOPE

"That decision sits outside my authority."

PIN DOWN RESPONSIBILITY

"Who is responsible for that specific next step?"

REPAIR MISUNDERSTANDING

"Let me restate the distinction more clearly."

CLOSE AN EXCHANGE

"We agree on the action, the owner, and the point for review."

Reported versus verified

Reported attributes information to a source; verified indicates it has been checked. Do not use the words interchangeably.

Could versus will

Could introduces a possibility. Will commits to an action or predicts an outcome; check whether that certainty is justified.

By versus at

By gives a latest time; at identifies a scheduled moment. State the time zone when people work across locations.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which statement labels the weight difference correctly?

A Technology is eighty basis points overweight
B Technology is eight percentage points above the benchmark
C Technology is eight percent larger relative to the benchmark weight
D Technology is twenty percent above the whole portfolio

2. What should a diversification explanation examine?

A An assumption that every name moves independently
B Shared underlying risk drivers
C Only the number of security names
D Only whether the portfolio has a long report

3. What is needed before calling the weight a breach?

A The analyst's preference for a smaller number
B A claim that all benchmarks are legal limits
C The applicable mandate or limit and its measurement basis
D Only the fact that it is an overweight

4. Which conclusion matches the request?

A Execute an unsupplied trade immediately
B Promise that diversification prevents every loss
C Declare every holding independent
D Review the exposure and authorized options

Answers and explanations: page 87.

Eight percentage points is not eight percent more

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

risk budget / percentage points / Rebalancing / stress scenario / active weight / position limit / look-through exposure / diversification / factor exposure / concentration risk

01 **Imani:** Technology is twenty-eight percent of the portfolio and twenty percent of the benchmark, so I described it as eight percent overweight.

02 **Owen:** Please say eight [1] _____ above the benchmark. The reference and unit need to remain clear.

03 **Imani:** The relative increase against the twenty-percent benchmark weight would be forty percent, which answers a different question.

04 **Owen:** Exactly. For our positioning table, use the [2] _____ and label it consistently so readers do not confuse the two calculations.

05 **Imani:** The portfolio contains forty securities. I had assumed that number was enough to describe it as well diversified.

06 **Owen:** Count is not the whole story. Review the [3] _____ when several holdings depend on the same technology spending cycle.

07 **Imani:** A fall in that demand could affect several names together even though each is a separate company.

08 **Owen:** That is the [4] _____ we need to explain, rather than treating every security as an independent source of risk.

09 **Imani:** Some exposure also sits inside a fund whose label does not make its technology holdings obvious.

10 **Owen:** Include the [5] _____ so the discussion reflects the underlying positions, not just the names on the top-level report.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 19.

11 **Imani:** Should I call the overweight a breach before checking the mandate, since it is above the benchmark?

12 **Owen:** No. Verify the actual [6] _____ and measurement basis. A benchmark comparison is not automatically the governing limit.

13 **Imani:** We can model the supplied demand shock to show where losses cluster and which assumptions drive the result.

14 **Owen:** Use a clearly defined [7] _____, and distinguish its hypothetical result from a forecast or a guarantee.

15 **Imani:** The team also wants to know whether the active position uses more risk than the committee intended.

16 **Owen:** Compare it with the actual [8] _____ and explain the measures, rather than assuming weight alone answers every risk question.

17 **Imani:** If the analysis supports a change, we can discuss costs, liquidity, and the authority required before adjusting positions.

18 **Owen:** Yes. [9] _____ is a decision, not an automatic consequence of using the word overweight.

19 **Imani:** I will report the eight-point active weight, shared drivers, relevant limits, and the results of the specified stress test.

20 **Owen:** Good. Explain [10] _____ without promising that holdings will always offset one another or that the portfolio cannot lose value.

ANSWERS / EXPLANATIONS: PAGE 88

1. percentage points | 2. active weight | 3. factor exposure | 4. concentration risk | 5. look-through exposure | 6. position limit | 7. stress scenario | 8. risk budget | 9. Rebalancing | 10. diversification

The reference weight changed

F Say it

A portfolio weight stays at 25 percent. The benchmark weight rises from 20 to 23 percent. The active overweight therefore falls from five to two percentage points without a portfolio trade.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

unchanged / trade / points / increased

Analyst: "The portfolio weight remained [1] _____."

Manager: "The benchmark weight [2] _____."

Analyst: "The active overweight is now two percentage [3] _____."

Manager: "That change does not prove a portfolio [4] _____ occurred."

ANSWERS / EXPLANATIONS: PAGE 88

1. unchanged | 2. increased | 3. points | 4. trade

Rehearse with a fixed script

1. Read the corrected exchange and state the eight-percentage-point difference and its 800-basis-point equivalent.

2. Switch roles and distinguish an overweight, a limit breach, and an authorized rebalance.

3. Complete the four-line follow-up with the supplied choices. Check the explanations, then read the corrected exchange twice, changing roles.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Gross outperformance is not the client net result

A Read the situation

Explain return measures, benchmark comparisons, and limitations without overstating performance.

For the same fictional one-year period and reporting currency, a portfolio reports an 8 percent gross return and a 7 percent net return. Its stated benchmark return is 6 percent on the comparable basis supplied. A draft client slide claims two percentage points of net outperformance. The correct arithmetic net excess is one percentage point. The figures do not specify an individual investor's cash-flow experience or promise future results.

PEOPLE / Ravi: Performance analyst | Claire: Client portfolio manager

KEEP THE QUALIFICATION BESIDE THE NUMBER

A client should not need to discover the fee basis or measurement period in a distant footnote after hearing an overstated headline.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What is the stated net portfolio return?

A 6 percent
B 2 percent
C 7 percent
D 8 percent

2. What is the arithmetic net excess over the benchmark?

A Two percentage points
B Seven percentage points
C One percent relative increase
D One percentage point

3. What is not established by these figures?

A The stated benchmark return
B Every individual investor's cash-flow return
C The stated one-year period
D The stated gross return

Answers and explanations: page 89.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

gross return

Return before the specified fee deductions in the stated methodology.

IN USE label the gross return

net return

Return after the specified deductions in the stated methodology.

IN USE present the net return

excess return

Difference between a return and its stated reference measure.

IN USE calculate excess return

total return

Return including the relevant price change and income under the methodology.

IN USE compare total returns

annualized return

Return expressed as an equivalent yearly rate under the stated method.

IN USE distinguish annualized return

cumulative return

Total change over the complete stated period.

IN USE report cumulative return

time-weighted return

Measure designed to reduce the effect of external cash-flow timing on performance.

IN USE explain time-weighted return

money-weighted return

Return measure reflecting the amount and timing of cash flows.

IN USE distinguish money-weighted return

performance attribution

Analysis assigning performance differences to defined effects.

IN USE review performance attribution

allocation effect

Attribution component associated with category-weight choices under the model.

IN USE explain the allocation effect

selection effect

Attribution component associated with security selection under the model.

IN USE identify the selection effect

interaction effect

Attribution component capturing joint effects under the chosen model.

IN USE label the interaction effect

Precision check

Net excess is 7 percent minus 6 percent: one percentage point, or 100 basis points. Two points is the gross comparison, not the net comparison.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

reporting currency

Currency in which performance is expressed.

IN USE confirm the reporting currency

measurement period

Time interval covered by the performance calculation.

IN USE align the measurement period

composite

Group of portfolios defined for performance reporting under stated criteria.

IN USE explain the composite definition

drawdown

Decline from a prior value peak under the stated measure.

IN USE report the drawdown

volatility

Measure of return variability over the specified sample.

IN USE contextualize volatility

simulated performance

Model-based results rather than an actual live track record.

IN USE disclose simulated performance

clarification request

Question that resolves an unclear meaning or instruction.

IN USE make a targeted clarification request

source attribution

Identification of where information came from.

IN USE preserve source attribution

working assumption

Provisional premise used while information is incomplete.

IN USE challenge a working assumption

scope boundary

Limit of the work or authority being discussed.

IN USE state the scope boundary

action owner

Named person responsible for a specified next step.

IN USE confirm the action owner

check-back

Restatement used to verify that a message was understood.

IN USE complete a check-back

Precision check

The gross-net difference does not alone specify a contractual fee rate. Methodology, included deductions, timing, and actual cash flows matter.

Phrases you can actually use

C Notice the language / 1 of 2

CORRECT THE HEADLINE

"The two-point difference is gross; net excess is one point."

KEEP THE BASIS EXPLICIT

"These are one-year returns in the stated reporting currency."

ALIGN COMPARISONS

"We need the same period and a compatible return basis."

DISTINGUISH EXPERIENCES

"Portfolio performance may differ from an investor's cash-flow return."

EXPLAIN ATTRIBUTION

"This effect is defined by the attribution model, not a free-standing causal proof."

AVOID FEE INFERENCE

"The gross-net difference is not automatically the contractual fee rate."

LABEL THE RECORD

"These results are simulated rather than a live account history."

LIMIT THE PROMISE

"Past performance does not guarantee the next period's result."

Net of which costs

Net needs the included deductions to be specified; it does not automatically mean after every tax and expense.

Annual versus annualized

Annual identifies a one-year period; annualized converts a different period into an equivalent yearly measure.

Outperformed by versus returned

Outperformed by gives a relative difference; returned gives the portfolio's own result.

Phrases you can actually use

C Notice the language / 2 of 2

CLARIFY THE QUESTION

"Are you asking about the finding or the next step?"

INVITE CORRECTION

"Please correct me if I have misunderstood that detail."

ATTRIBUTE INFORMATION

"That is what the current record says; it has not been independently confirmed."

SEPARATE POSSIBILITY

"That is a possibility, not an agreed outcome."

CHECK SCOPE

"That decision sits outside my authority."

PIN DOWN RESPONSIBILITY

"Who is responsible for that specific next step?"

REPAIR MISUNDERSTANDING

"Let me restate the distinction more clearly."

CLOSE AN EXCHANGE

"We agree on the action, the owner, and the point for review."

Reported versus verified

Reported attributes information to a source; verified indicates it has been checked. Do not use the words interchangeably.

Could versus will

Could introduces a possibility. Will commits to an action or predicts an outcome; check whether that certainty is justified.

By versus at

By gives a latest time; at identifies a scheduled moment. State the time zone when people work across locations.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which slide headline is correct?

A The portfolio guarantees 7 percent next year
B Net return 7 percent; benchmark 6 percent; net excess 1 percentage point
C Net return 8 percent; net excess 2 points
D Net excess equals the full 7 percent portfolio return

2. Which question clarifies net of fees?

A Is the gross number always the investor's result?
B Which deductions are included in this measure?
C Can every deduction be assumed from the word net?
D Does net mean there can be no loss?

3. Why might a client's cash-flow return differ?

A The portfolio figures automatically describe every personal cash flow
B Currency and period never matter
C The benchmark changes the client's past deposits
D The amount and timing of contributions and withdrawals can differ

4. Which presentation preserves fair interpretation?

A Use different periods without explanation
B Keep period, currency, fee basis, and limitations with the figures
C Remove the net figure because gross is larger
D Label simulated results as live

Answers and explanations: page 89.

Gross outperformance is not the client net result

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

measurement period / drawdown / excess return / time-weighted return / gross return / Net return / performance attribution / money-weighted return / reporting currency / simulated performance

01 **Ravi:** The draft slide says we beat the benchmark by two percentage points net. I used eight minus six to prepare the headline.

02 **Claire:** Eight percent is the [1] _____. The net figure is seven, so the headline has mixed the fee bases.

03 **Ravi:** Then the net comparison is seven minus six, which gives one percentage point rather than two.

04 **Claire:** Correct. State the [2] _____ with its basis so the client can distinguish portfolio return from benchmark-relative performance.

05 **Ravi:** I will show gross eight, net seven, and benchmark six together, rather than leave the net number out of the discussion.

06 **Claire:** Good. Also preserve the [3] _____ and [4] _____ so the three figures remain comparable.

07 **Ravi:** They all cover the same fictional year in the same currency. The methodology note identifies the deductions included in net.

08 **Claire:** Keep that note clear. [5] _____ does not automatically mean after every tax, expense, or individual investor circumstance.

09 **Ravi:** Could the one-point difference between gross and net be described as the contractual management-fee percentage?

10 **Claire:** Not from that subtraction alone. We need the actual fee terms and calculation details before making that separate claim.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 28.

11 **Ravi:** A client also asks why their account experience differs after making a large contribution midway through the year.

12 **Claire:** Their [6] _____ can reflect cash-flow timing and size. Do not tell them the published portfolio number must describe every individual experience.

13 **Ravi:** We should explain which method the portfolio report uses and how that differs from the client's cash-flow question.

14 **Claire:** Yes. If discussing [7] _____, explain its purpose rather than treating the method names as interchangeable labels.

15 **Ravi:** The attribution table separates category allocation and security selection, but the model definitions are not on the slide.

16 **Claire:** The [8] _____ discussion needs enough context to show what those effects mean under the chosen method.

17 **Ravi:** We also have a separate backtest in the appendix. I will make sure it does not appear to be an additional live account.

18 **Claire:** Label [9] _____ visibly, with its relevant limitations, instead of relying on a small ambiguous caption.

19 **Ravi:** The revised summary will report one-point net excess for the year, with the actual method and deductions identified.

20 **Claire:** Good. Include the relevant risk context, such as [10] _____, without implying that past outperformance guarantees the next year's result.

ANSWERS / EXPLANATIONS: PAGE 90

1. gross return | 2. excess return | 3. measurement period | 4. reporting currency | 5. Net return | 6. money-weighted return | 7. time-weighted return | 8. performance attribution | 9. simulated performance | 10. drawdown

A three-year total was labeled annual

F Say it

A table supplies an 18 percent cumulative return over three years. No annualized calculation has been provided. The slide incorrectly calls it an 18 percent annual return.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

explicit / annual / calculation / cumulative

Analyst: "The supplied figure is [1] _____."

Manager: "It is not an eighteen-percent [2] _____ return."

Analyst: "An annualized figure needs its own [3] _____."

Manager: "Keep the three-year period [4] _____."

ANSWERS / EXPLANATIONS: PAGE 90

1. cumulative | 2. annual | 3. calculation | 4. explicit

Rehearse with a fixed script

1. Read the corrected exchange and distinguish the eight-percent gross, seven-percent net, and six-percent benchmark figures.

2. Switch roles and explain why one percentage point of net excess is not the same as the portfolio returning one percent.

3. Complete the four-line follow-up with the supplied choices. Check the explanations, then read the corrected exchange twice, changing roles.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

A model assumption is not a verified renewal

A Read the situation

Present a thesis, answer a skeptical question, and identify evidence that could change the decision.

Analyst Sofia presents a fictional software-company investment thesis. The base case assumes 10 percent revenue growth; a downside scenario assumes 2 percent. Both depend on stated assumptions, and no scenario probabilities have been assigned. A key customer-retention input comes from management and is not independently verified. Committee chair Malik asks what evidence could invalidate the thesis. No investment approval is supplied.

PEOPLE / Sofia: Buy-side analyst | Malik: Investment committee chair

PUSHBACK IS PART OF THE ANALYSIS

A direct committee challenge can test the case without being a personal attack. Answer the assumption or evidence question rather than defend the presenter's status.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What growth does the base case assume?

A 10 percent
B 2 percent
C A probability-weighted 6 percent
D A guaranteed 12 percent

2. What is the retention input's status?

A Management-provided and independently unverified
B Confirmed by every customer
C A signed renewal for each contract
D An audited future result

3. What cannot be calculated from the supplied scenario information alone?

A Which scenario is called downside
B The stated base-case growth assumption
C A probability-weighted expected outcome
D The difference between 10 and 2

Answers and explanations: page 91.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

investment thesis

Reasoned case for an investment under specified assumptions.

IN USE articulate the investment thesis

catalyst

Event or development expected to affect an investment case or valuation.

IN USE identify a potential catalyst

variant perception

View differing from the market or consensus assessment.

IN USE explain the variant perception

base case

Central scenario using the stated assumptions.

IN USE defend the base case

upside case

Scenario with specified more favorable assumptions.

IN USE distinguish the upside case

downside case

Scenario with specified adverse assumptions.

IN USE model the downside case

sensitivity analysis

Examination of how output changes when inputs change.

IN USE run sensitivity analysis

scenario analysis

Comparison of internally specified sets of assumptions.

IN USE present scenario analysis

probability weight

Assigned likelihood used in a probability-weighted calculation.

IN USE justify a probability weight

margin of safety

Buffer between an assessed value and price under a stated approach.

IN USE explain the margin of safety

thesis breaker

Evidence or event that would materially undermine the investment case.

IN USE define a thesis breaker

valuation range

Interval of estimated values under stated assumptions.

IN USE present a valuation range

Precision check

The base case is a scenario, not a forecast guarantee. A management retention estimate is not the same as independently confirmed customer renewals.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

discounted cash flow

Valuation method discounting projected cash flows under stated assumptions.

IN USE review the discounted cash flow

terminal value

Estimated value beyond an explicit forecast period.

IN USE test terminal value assumptions

discount rate

Rate used to convert future cash flows to present value.

IN USE justify the discount rate

free cash flow

Cash-flow measure defined after the relevant specified expenditures.

IN USE define free cash flow

position sizing

Determination of investment exposure within the portfolio process.

IN USE review position sizing

decision record

Account of the decision, rationale, conditions, and authority.

IN USE maintain a decision record

clarification request

Question that resolves an unclear meaning or instruction.

IN USE make a targeted clarification request

source attribution

Identification of where information came from.

IN USE preserve source attribution

working assumption

Provisional premise used while information is incomplete.

IN USE challenge a working assumption

scope boundary

Limit of the work or authority being discussed.

IN USE state the scope boundary

action owner

Named person responsible for a specified next step.

IN USE confirm the action owner

check-back

Restatement used to verify that a message was understood.

IN USE complete a check-back

Precision check

Two scenarios without probability weights do not establish a probability-weighted expected return. The exercise supplies no investment approval or trade instruction.

Phrases you can actually use

C Notice the language / 1 of 2

STATE THE THESIS

"The case depends on retention and the stated growth assumptions."

ANSWER THE CHALLENGE

"That input comes from management and remains unverified."

DEFINE FALSIFICATION

"A material deterioration in the specified evidence would challenge the thesis."

SEPARATE OUTPUTS

"This is the base-case result, not a probability-weighted expectation."

EXPOSE SENSITIVITY

"The valuation changes materially when that assumption changes."

AVOID A FALSE BUFFER

"A margin of safety depends on the valuation assumptions being credible."

CLARIFY AUTHORITY

"Committee discussion is not the same as investment approval."

CLOSE THE REVIEW

"I will return with the evidence, revised sensitivities, and a clear decision request."

Assumes versus demonstrates

Assumes identifies an input; demonstrates claims support from evidence or analysis.

Would versus will

Would describes a conditional effect; will states a prediction or commitment.

Base case versus expected value

A named central scenario and a probability-weighted calculation are different concepts.

Phrases you can actually use

C Notice the language / 2 of 2

CLARIFY THE QUESTION

"Are you asking about the finding or the next step?"

INVITE CORRECTION

"Please correct me if I have misunderstood that detail."

ATTRIBUTE INFORMATION

"That is what the current record says; it has not been independently confirmed."

SEPARATE POSSIBILITY

"That is a possibility, not an agreed outcome."

CHECK SCOPE

"That decision sits outside my authority."

PIN DOWN RESPONSIBILITY

"Who is responsible for that specific next step?"

REPAIR MISUNDERSTANDING

"Let me restate the distinction more clearly."

CLOSE AN EXCHANGE

"We agree on the action, the owner, and the point for review."

Reported versus verified

Reported attributes information to a source; verified indicates it has been checked. Do not use the words interchangeably.

Could versus will

Could introduces a possibility. Will commits to an action or predicts an outcome; check whether that certainty is justified.

By versus at

By gives a latest time; at identifies a scheduled moment. State the time zone when people work across locations.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which response is evidence-conscious?

A A confident presentation makes the input audited
B Ten-percent growth is guaranteed because it is the base case
C Management supplied the retention input; we still need verification
D The model output proves renewals occurred

2. What does a thesis breaker identify?

A A reason to ignore all contrary information
B A guaranteed future loss
C The name of the committee presenter
D Evidence that would materially undermine the case

3. Which label fits the 2-percent scenario?

A A weighted average of all outcomes
B A trade authorization
C A downside case under stated assumptions
D A certain future result

4. What should the decision record avoid?

A Identifying the responsible follow-up
B Recording discussion as approval when no approval occurred
C Naming unresolved evidence
D Recording the actual conditions

Answers and explanations: page 91.

A model assumption is not a verified renewal

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

base case / downside case / decision record / sensitivity analysis / terminal value / probability weight / margin of safety / investment thesis / Position sizing / thesis breaker

01 **Sofia:** Our base case uses ten-percent revenue growth, supported by the retention profile management described in the presentation.

02 **Malik:** State the [1] _____ before the valuation. Which evidence makes that growth assumption credible?

03 **Sofia:** The retention input comes from management, and we have not independently verified the underlying customer data.

04 **Malik:** Then the [2] _____ needs that qualification. A number inside the model does not become evidence because the spreadsheet calculates cleanly.

05 **Sofia:** I also modeled two-percent growth in the downside scenario to show how weaker demand changes the projected cash flows.

06 **Malik:** What changes together in that [3] _____? We need a coherent scenario, not one lower revenue number with every other assumption left unexplained.

07 **Sofia:** I can show the stated cost and cash-flow assumptions separately and identify which inputs came from management or our analysis.

08 **Malik:** Good. Use [4] _____ to expose the variables that drive the result rather than hiding uncertainty inside a single valuation.

09 **Sofia:** A large share of the estimated value comes from cash flows beyond the explicit forecast period.

10 **Malik:** Then the [5] _____ assumptions deserve attention. A precise-looking output can still depend heavily on uncertain long-term inputs.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 37.

11 **Sofia:** I have not assigned probabilities to the two scenarios, so I should not call their simple midpoint our expected result.

12 **Malik:** Correct. A [6] _____ needs a reasoned basis. Naming two cases does not create a probability-weighted forecast.

13 **Sofia:** The proposed investment depends on customer retention remaining consistent with the evidence we are trying to verify.

14 **Malik:** Identify a [7] _____. What finding would make you change the recommendation rather than explain every adverse result away?

15 **Sofia:** If the verified cohort data materially contradict the assumed retention pattern, I would revisit the growth and cash-flow case.

16 **Malik:** That is more useful than saying the valuation offers a [8] _____ without explaining whether the inputs supporting that valuation are credible.

17 **Sofia:** We should also assess the exposure in the context of the portfolio, not infer the investment size from my confidence alone.

18 **Malik:** Yes. [9] _____ needs the actual risk, liquidity, and mandate considerations, alongside whatever conclusion the committee reaches.

19 **Sofia:** I will return with the verified evidence where available, the unresolved limitations, and the revised scenario comparison.

20 **Malik:** Record that request in the [10] _____. We have asked for further work; we have not authorized an investment or guaranteed any outcome.

ANSWERS / EXPLANATIONS: PAGE 92

1. investment thesis | 2. base case | 3. downside case | 4. sensitivity analysis | 5. terminal value | 6. probability weight | 7. thesis breaker | 8. margin of safety | 9. Position sizing | 10. decision record

The midpoint was called expected return

F Say it

A model has two unweighted scenarios. An analyst takes their arithmetic midpoint and labels it probability-weighted expected return. No likelihoods have been assigned.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

midpoint / separate / unsupported / assigned

Analyst: "I calculated the arithmetic [1] _____."

Chair: "No probability weights have been [2] _____."

Analyst: "The expected-return label is therefore [3] _____."

Chair: "Keep the scenario outputs and their assumptions [4] _____."

ANSWERS / EXPLANATIONS: PAGE 92

1. midpoint | 2. assigned | 3. unsupported | 4. separate

Rehearse with a fixed script

1. Read the committee exchange and distinguish an assumption, evidence, a scenario, and an approval.

2. Switch roles and state the proposed thesis breaker using the supplied retention issue.

3. Complete the four-line follow-up with the supplied choices. Check the explanations, then read the corrected exchange twice, changing roles.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

The headline value is not the seller proceeds

A Read the situation

Reconcile a simplified valuation bridge and distinguish model inputs from verified transaction economics.

Investment banker Eva explains an illustrative valuation to corporate client Theo. The model uses normalized EBITDA of USD 15 million at an 8-times multiple, implying enterprise value of USD 120 million. It then subtracts debt of USD 30 million and adds eligible cash of USD 10 million, giving equity value of USD 100 million. No other adjustments are included in this simplified bridge. The EBITDA normalization is still under diligence, and seller taxes, fees, and actual proceeds are not calculated.

PEOPLE / Theo: Corporate client | Eva: Investment banker

RECONCILE BEFORE DEFENDING THE HEADLINE

A client can reasonably confuse a transaction headline with money received. Walk through the bridge with consistent definitions before debating whether the valuation is attractive.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What enterprise value does the illustrative multiple imply?

A USD 15 million
B USD 120 million
C USD 100 million
D USD 80 million

2. What is the simplified equity value?

A USD 160 million
B USD 80 million
C USD 100 million
D USD 120 million

3. Which conclusion is not supplied?

A The illustrative multiple
B Actual seller proceeds after fees and taxes
C The model enterprise value
D The stated debt amount

Answers and explanations: page 93.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

enterprise value

Value measure for the operating business under the stated definition.

IN USE distinguish enterprise value

equity value

Value attributable to equity after the relevant bridge adjustments.

IN USE reconcile equity value

EBITDA

Earnings before interest, taxes, depreciation, and amortization under the stated calculation.

IN USE define EBITDA

normalized EBITDA

EBITDA adjusted for specified items under a stated normalization approach.

IN USE review normalized EBITDA

valuation multiple

Ratio applied to a specified financial metric.

IN USE select a valuation multiple

EV-to-EBITDA

Enterprise-value multiple of the defined EBITDA measure.

IN USE compare EV-to-EBITDA

add-back

Adjustment adding a specified item back to a financial metric.

IN USE substantiate an add-back

net debt

Defined debt less eligible cash under the stated calculation.

IN USE reconcile net debt

eligible cash

Cash included under the stated valuation or transaction definition.

IN USE verify eligible cash

debt-like item

Item treated like debt under a specified transaction definition.

IN USE identify debt-like items

cash-free debt-free

Transaction pricing convention requiring the actual terms to define its effect.

IN USE clarify cash-free debt-free pricing

equity bridge

Reconciliation from enterprise value to equity value.

IN USE prepare the equity bridge

Precision check

The supplied bridge is 15 x 8 = 120; then 120 - 30 + 10 = 100, all in USD millions. It excludes other adjustments by design.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

comparable companies

Businesses used as reference points under a defined valuation comparison.

IN USE select comparable companies

precedent transactions

Earlier deals used in a valuation comparison.

IN USE analyze precedent transactions

diluted share count

Share count reflecting specified potential dilution under the method.

IN USE verify the diluted share count

noncontrolling interest

Ownership interest not attributable to the controlling parent under the relevant context.

IN USE assess noncontrolling interest

preferred capital

Capital carrying specified preferences under its actual terms.

IN USE account for preferred capital

seller proceeds

Amount actually received by sellers after relevant transaction effects.

IN USE distinguish seller proceeds

clarification request

Question that resolves an unclear meaning or instruction.

IN USE make a targeted clarification request

source attribution

Identification of where information came from.

IN USE preserve source attribution

working assumption

Provisional premise used while information is incomplete.

IN USE challenge a working assumption

scope boundary

Limit of the work or authority being discussed.

IN USE state the scope boundary

action owner

Named person responsible for a specified next step.

IN USE confirm the action owner

check-back

Restatement used to verify that a message was understood.

IN USE complete a check-back

Precision check

Normalized EBITDA is not automatically cash flow or a verified sustainable earnings figure. Actual transaction definitions, diligence, fees, taxes, and other claims can alter the analysis.

Phrases you can actually use

C Notice the language / 1 of 2

LABEL THE HEADLINE

"The one-hundred-twenty-million figure is enterprise value."

SHOW THE BRIDGE

"Subtract thirty of debt and add ten of eligible cash."

NAME THE RESULT

"That gives one hundred million of equity value in this simplified example."

SEPARATE PROCEEDS

"Equity value is not automatically the sellers' after-tax cash receipt."

QUALIFY THE INPUT

"The normalization remains subject to diligence."

AVOID DOUBLE COUNTING

"Do not subtract net debt and then subtract the same gross debt again."

COMPARE CONSISTENTLY

"The multiple and earnings metric need a compatible basis."

PRESERVE EXCLUSIONS

"This illustration does not include other transaction adjustments."

Value versus proceeds

Value is the stated valuation measure; proceeds concern the actual amount received after relevant effects.

Reported versus normalized

Reported identifies the source metric; normalized incorporates specified adjustments that need justification.

Gross debt versus net debt

Net debt already reflects the eligible-cash deduction under the chosen definition; combining both carelessly can double count.

Phrases you can actually use

C Notice the language / 2 of 2

CLARIFY THE QUESTION

"Are you asking about the finding or the next step?"

INVITE CORRECTION

"Please correct me if I have misunderstood that detail."

ATTRIBUTE INFORMATION

"That is what the current record says; it has not been independently confirmed."

SEPARATE POSSIBILITY

"That is a possibility, not an agreed outcome."

CHECK SCOPE

"That decision sits outside my authority."

PIN DOWN RESPONSIBILITY

"Who is responsible for that specific next step?"

REPAIR MISUNDERSTANDING

"Let me restate the distinction more clearly."

CLOSE AN EXCHANGE

"We agree on the action, the owner, and the point for review."

Reported versus verified

Reported attributes information to a source; verified indicates it has been checked. Do not use the words interchangeably.

Could versus will

Could introduces a possibility. Will commits to an action or predicts an outcome; check whether that certainty is justified.

By versus at

By gives a latest time; at identifies a scheduled moment. State the time zone when people work across locations.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which bridge is correct for the supplied case?

A 120 minus 30 plus 10 equals 100
B 120 plus 30 minus 10 equals 140
C 120 minus 30 minus 10 equals 80
D 120 plus 30 plus 10 equals 160

2. What happens if net debt of 20 is subtracted and debt of 30 is then subtracted again?

A The bridge becomes more conservative and therefore automatically correct
B Eligible cash has been added twice
C The EBITDA multiple changes to ten
D The same debt is counted twice

3. Which input still needs diligence?

A The fact that eight times fifteen equals 120
B The written currency label
C The number of speakers
D The EBITDA normalization

4. Which client statement is too strong?

A The illustration implies enterprise value of 120 million
B The simplified equity bridge gives 100 million
C Fees and taxes are not calculated here
D The sellers will receive exactly USD 100 million after every cost

Answers and explanations: page 93.

The headline value is not the seller proceeds

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

Net debt / equity bridge / Seller proceeds / equity value / precedent transactions / enterprise value / debt-like item / valuation multiple / Normalized EBITDA / eligible cash

01 **Theo:** The presentation says one hundred twenty million dollars. Is that what the shareholders will receive when the transaction closes?

02 **Eva:** That headline is [1] _____ in our illustration. We need to walk from that measure to equity value and then distinguish actual proceeds.

03 **Theo:** You arrived at the headline by multiplying fifteen million of normalized EBITDA by eight, correct?

04 **Eva:** Yes. Eight is the [2] _____ applied to the stated metric, with both the metric and the comparison basis requiring clear definitions.

05 **Theo:** The fifteen-million figure includes adjustments management proposed. I do not want the model to imply they have all been verified.

06 **Eva:** It should not. [3] _____ remains subject to diligence, and it is not the same thing as cash available to shareholders.

07 **Theo:** For the bridge, the example includes thirty million of debt and ten million of cash that is eligible under the stated definition.

08 **Eva:** Correct. The [4] _____ subtracts thirty from one hundred twenty and adds ten, giving one hundred million.

09 **Theo:** We could also describe the adjustment as subtracting twenty million of net debt, provided we use the same definition.

10 **Eva:** Exactly. [5] _____ is twenty in this simplified case. Do not then subtract the thirty again, because that would double count.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 46.

11 **Theo:** What makes the cash eligible? I know some transaction definitions distinguish accessible cash from restricted balances.

12 **Eva:** The actual terms determine [6] _____. Here we explicitly supply ten for the exercise, but a real bridge needs the relevant definitions and verification.

13 **Theo:** The illustration says no other adjustments. Does that mean real transactions never have additional claims or price mechanisms?

14 **Eva:** No. A [7] _____ or other adjustment can matter in the actual terms. The illustration excludes them; it does not declare them irrelevant everywhere.

15 **Theo:** Then the one-hundred-million result is equity value under these supplied assumptions, not a complete closing statement.

16 **Eva:** Yes. [8] _____ can differ because of costs, taxes, and other actual transaction effects not calculated here.

17 **Theo:** I also want the comparison slide to show whether the other deals use the same earnings definition and time period.

18 **Eva:** That is essential when using [9] _____. A similar headline multiple can conceal different metrics, periods, or deal circumstances.

19 **Theo:** I will summarize the model as illustrative enterprise value of one hundred twenty and equity value of one hundred, with normalization still under review.

20 **Eva:** Good. Keep [10] _____, the unresolved inputs, and the uncalculated proceeds separate, so the board understands exactly what the numbers do and do not represent.

ANSWERS / EXPLANATIONS: PAGE 94

1. enterprise value | 2. valuation multiple | 3. Normalized EBITDA | 4. equity bridge | 5. Net debt | 6. eligible cash | 7. debt-like item | 8. Seller proceeds | 9. precedent transactions | 10. equity value

Only the eligible cash amount changes

F Say it

Keep enterprise value at USD 120 million and debt at USD 30 million. Eligible cash is now USD 6 million. No other adjustments are included, so equity value is USD 96 million.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

twenty / six / debt / cash

Banker: "Enterprise value remains one hundred [1] _____ million."

Client: "We subtract thirty million of [2] _____."

Banker: "We add six million of eligible [3] _____."

Client: "The simplified equity value is ninety-[4] _____ million."

ANSWERS / EXPLANATIONS: PAGE 94

1. twenty | 2. debt | 3. cash | 4. six

Rehearse with a fixed script

1. Read the corrected discussion and state the full bridge using USD millions.

2. Switch roles and explain why subtracting both net debt and the same gross debt would double count.

3. Complete the four-line follow-up with the supplied choices. Check the explanations, then read the corrected exchange twice, changing roles.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Repeat purchases are not necessarily contracted recurring revenue

A Read the situation

Distinguish reported revenue, customer concentration, and future contract evidence in a diligence update.

In a fictional sell-side transaction, management reports USD 100 million of last-twelve-month revenue, including USD 30 million from one customer. A slide calls that customer revenue contracted recurring revenue. The data room contains past invoices but no reviewed renewal contract for the next period. Banker Lena and finance lead Omar must describe the gap without concluding that no contract exists or that all revenue will disappear.

PEOPLE / Omar: Company finance lead | Lena: Investment banker

A PRECISE CHALLENGE NEED NOT ACCUSE MANAGEMENT

Ask which evidence supports the label. Distinguish an unanswered document request from proof that a commercial statement is false.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What share of reported revenue comes from the customer?

A 30 percent
B 3 percent
C 70 percent
D 100 percent

2. What documents are supplied in the data room?

A Past invoices without a reviewed next-period renewal contract
B Every signed future renewal
C No evidence of any past billing
D A legal opinion guaranteeing future revenue

3. What conclusion would overstate the gap?

A The customer is material to the revenue mix
B The slide label needs support
C No contract exists and all future revenue will disappear
D Contract evidence remains to be reviewed

Answers and explanations: page 95.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

due diligence

Structured investigation supporting a transaction or decision.

IN USE conduct due diligence

quality of earnings

Analysis of the nature and sustainability of reported earnings.

IN USE review quality of earnings

data room

Controlled repository of transaction information.

IN USE update the data room

diligence request list

Record of information requested for the review.

IN USE maintain the diligence request list

last-twelve-month revenue

Revenue for the specified trailing twelve-month period.

IN USE reconcile last-twelve-month revenue

customer concentration

Dependence on revenue or business from a limited customer group.

IN USE assess customer concentration

contracted recurring revenue

Revenue described as recurring under actual contractual terms and definitions.

IN USE substantiate contracted recurring revenue

repeat purchase

Another purchase that does not alone establish a future contractual commitment.

IN USE distinguish repeat purchases

annual recurring revenue

Annualized recurring-revenue measure under the stated definition.

IN USE define annual recurring revenue

bookings

Value of orders or commitments recorded under a stated commercial definition.

IN USE reconcile bookings

backlog

Outstanding business or orders under the stated definition.

IN USE analyze backlog

deferred revenue

Accounting liability or balance for consideration before the relevant revenue recognition.

IN USE distinguish deferred revenue

Precision check

The customer contributes 30 percent of the supplied trailing revenue. Historical invoices establish a different evidential point from a reviewed future contractual commitment.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

net revenue retention

Retained revenue measure including specified expansion and losses from an existing cohort.

IN USE define net revenue retention

gross revenue retention

Retained revenue measure excluding specified expansion under the methodology.

IN USE compare gross revenue retention

customer cohort

Defined group of customers followed for analysis.

IN USE specify the customer cohort

revenue cutoff

Timing boundary for recognizing revenue in the relevant period.

IN USE test revenue cutoff

management representation

Statement supplied by management for the relevant purpose.

IN USE attribute management representations

diligence red flag

Issue requiring attention or further investigation during diligence.

IN USE escalate a diligence red flag

clarification request

Question that resolves an unclear meaning or instruction.

IN USE make a targeted clarification request

source attribution

Identification of where information came from.

IN USE preserve source attribution

working assumption

Provisional premise used while information is incomplete.

IN USE challenge a working assumption

scope boundary

Limit of the work or authority being discussed.

IN USE state the scope boundary

action owner

Named person responsible for a specified next step.

IN USE confirm the action owner

check-back

Restatement used to verify that a message was understood.

IN USE complete a check-back

Precision check

Missing from the reviewed data room does not mean nonexistent. Contract meaning, revenue recognition, and sustainability require appropriate legal, accounting, and commercial review.

Phrases you can actually use

C Notice the language / 1 of 2

TEST THE LABEL

"What evidence supports calling this revenue contracted and recurring?"

SEPARATE PERIODS

"These invoices support past billing, not the next period's renewal."

QUANTIFY CONCENTRATION

"This customer represents thirty percent of the supplied trailing revenue."

AVOID AN ACCUSATION

"We have not reviewed the contract; we have not established that no contract exists."

REQUEST SPECIFICS

"Please identify the agreement, relevant term, and any renewal conditions for review."

ALIGN DEFINITIONS

"Bookings, backlog, and recognized revenue are not interchangeable."

ATTRIBUTE THE STATEMENT

"That figure is management-provided and remains under diligence."

REPORT THE GAP

"The document request is open, and the slide label needs qualification."

Recurring versus repeated

Repeated describes past occurrences; recurring may imply a defined continuing revenue pattern or contract basis that needs support.

Unreviewed versus nonexistent

Unreviewed identifies the state of the investigation; nonexistent makes a factual claim that has not been established here.

Recognized versus collected

Revenue recognition and cash collection are different accounting events and may occur in different periods.

Phrases you can actually use

C Notice the language / 2 of 2

CLARIFY THE QUESTION

"Are you asking about the finding or the next step?"

INVITE CORRECTION

"Please correct me if I have misunderstood that detail."

ATTRIBUTE INFORMATION

"That is what the current record says; it has not been independently confirmed."

SEPARATE POSSIBILITY

"That is a possibility, not an agreed outcome."

CHECK SCOPE

"That decision sits outside my authority."

PIN DOWN RESPONSIBILITY

"Who is responsible for that specific next step?"

REPAIR MISUNDERSTANDING

"Let me restate the distinction more clearly."

CLOSE AN EXCHANGE

"We agree on the action, the owner, and the point for review."

Reported versus verified

Reported attributes information to a source; verified indicates it has been checked. Do not use the words interchangeably.

Could versus will

Could introduces a possibility. Will commits to an action or predicts an outcome; check whether that certainty is justified.

By versus at

By gives a latest time; at identifies a scheduled moment. State the time zone when people work across locations.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which update best fits the evidence?

A Past invoices reviewed; future contract support remains outstanding
B All future revenue is contractually guaranteed
C No contract exists anywhere
D The customer cannot affect the valuation

2. Which numerical description is correct?

A All revenue comes from that customer
B The customer contributes 3 percent of revenue
C One customer accounts for 30 percent of trailing revenue
D One customer accounts for 30 percentage points of profit

3. What should the banker request?

A An assumption that invoices guarantee renewal
B A legal conclusion from an unrelated customer
C The actual agreement and renewal terms for appropriate review
D A more confident slide heading only

4. Which terms should not be merged without reconciliation?

A The stated customer name and its exact identifier
B Two identical copies of the same invoice
C The same supplied currency label
D Bookings, backlog, and recognized revenue

Answers and explanations: page 95.

Repeat purchases are not necessarily contracted recurring revenue

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

management representation / Bookings / customer concentration / diligence request list / diligence red flag / net revenue retention / contracted recurring revenue / repeat purchase / last-twelve-month revenue / data room

01 **Omar:** The customer has bought from us repeatedly, so the slide describes its thirty million dollars as contracted recurring revenue.

02 **Lena:** What supports that [1] _____ label? We have reviewed invoices, but not a renewal agreement for the next period.

03 **Omar:** The invoices support the historical revenue. I agree they do not by themselves show the terms of a future commitment.

04 **Lena:** Exactly. A [2] _____ and a contractual renewal are different pieces of evidence.

05 **Omar:** Our total revenue for the trailing period is one hundred million, with thirty million from this customer.

06 **Lena:** That creates material [3] _____ to discuss: thirty percent of the supplied revenue comes from this relationship.

07 **Omar:** We should identify the period carefully, because the same slide also includes a current-year management forecast.

08 **Lena:** Keep [4] _____ separate from the forecast so the audience does not mistake projected sales for recognized historical revenue.

09 **Omar:** The commercial team may have the agreement in another approved location. Its absence from this folder does not prove it does not exist.

10 **Lena:** Correct. Update the [5] _____ with the precise document and terms needed for review.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 55.

11 **Omar:** I will ask for the agreement, any amendments, the relevant term, and the conditions governing renewal or termination.

12 **Lena:** Route them through the controlled [6] _____ and appropriate legal and commercial review, rather than emailing confidential material indiscriminately.

13 **Omar:** Another sheet uses bookings to support the same revenue number. We should not treat those figures as identical without checking.

14 **Lena:** Yes. [7] _____, backlog, and recognized revenue need their own definitions and reconciliation.

15 **Omar:** We also show a retention percentage, but I need to confirm whether it includes expansion from existing customers.

16 **Lena:** That matters for [8] _____. Keep the cohort, period, and treatment of expansion clear before comparing it with another metric.

17 **Omar:** I can attribute the current contract description to management while making the evidence gap visible in the diligence update.

18 **Lena:** Good. A [9] _____ should not become an independently verified fact merely because we repeat it in the transaction materials.

19 **Omar:** The revised note will quantify the concentration, distinguish history from forecast, and mark contract support as outstanding.

20 **Lena:** That is an appropriate [10] _____ to investigate, without asserting that no agreement exists or predicting that every dollar of future revenue will disappear.

ANSWERS / EXPLANATIONS: PAGE 96

1. contracted recurring revenue | 2. repeat purchase | 3. customer concentration | 4. last-twelve-month revenue | 5. diligence request list | 6. data room | 7. Bookings | 8. net revenue retention | 9. management representation | 10. diligence red flag

An annualized month became a historical year

F Say it

One month records USD 3 million of revenue. A slide multiplies it by twelve to show a USD 36 million annualized run rate. Actual trailing-twelve-month revenue is separately supplied as USD 30 million.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

rate / persistence / labeled / thirty

Analyst: "Thirty-six million is an annualized run [1] _____."

Banker: "The actual trailing revenue is [2] _____ million."

Analyst: "The monthly figure does not establish future [3] _____."

Banker: "Keep the historical and annualized measures clearly [4] _____."

ANSWERS / EXPLANATIONS: PAGE 96

1. rate | 2. thirty | 3. persistence | 4. labeled

Rehearse with a fixed script

1. Read the corrected diligence exchange and distinguish invoices, renewals, bookings, and recognized revenue.

2. Switch roles and report the 30-percent concentration and the exact document gap without alleging an unsupplied outcome.

3. Complete the four-line follow-up with the supplied choices. Check the explanations, then read the corrected exchange twice, changing roles.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

A one-and-a-half-times book is not cash received

A Read the situation

Distinguish indications, allocations, pricing, and issuer proceeds in an offering update.

In a fictional offering illustration, the target gross deal size is USD 80 million: USD 60 million of new shares and USD 20 million sold by existing shareholders. Nonbinding indications of interest total USD 120 million on the same provisional pricing basis. No final allocation, pricing, or settlement has occurred. Fees and expenses are excluded from the figures.

PEOPLE / Mina: Issuer finance director | James: Capital-markets banker

A STRONG UPDATE CAN STILL PRESERVE CONTINGENCIES

Report demand confidently without treating indications as commitments or total deal size as cash available to the issuer.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What is the gross primary component for the issuer?

A USD 60 million
B USD 80 million
C USD 120 million
D USD 20 million

2. What does the USD 120 million figure describe?

A Nonbinding indications on the provisional basis
B Settled cash received by the issuer
C Final allocated shares already paid for
D Guaranteed net proceeds

3. Which stages are unfinished?

A Final allocation, pricing, and settlement
B The initial target-size discussion
C The identification of primary and secondary components
D The arithmetic total of the two components

Answers and explanations: page 97.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

issuer

Entity offering the relevant securities.

IN USE identify the issuer

underwriter

Financial institution performing the role defined in an offering arrangement.

IN USE confirm the underwriter role

bookbuilding

Gathering investor demand information for an offering.

IN USE conduct bookbuilding

indication of interest

Expression of potential investor demand under stated conditions.

IN USE record an indication of interest

order book

Compilation of demand information under the offering process.

IN USE assess the order book

allocation

Assignment of offered securities under the actual process.

IN USE confirm the allocation

primary shares

Newly issued shares sold by the company in the offering.

IN USE distinguish primary shares

secondary shares

Existing shares sold by current holders in the offering.

IN USE identify secondary shares

issuer proceeds

Funds received by the issuing company under the actual offering economics.

IN USE reconcile issuer proceeds

offering price

Price at which securities are sold in the offering.

IN USE agree the offering price

price range

Stated range used during the relevant offering stage.

IN USE update the price range

roadshow

Investor presentation process under applicable offering rules.

IN USE prepare the roadshow

Precision check

The indicative book is 120 divided by 80, or 1.5 times the target on the supplied basis. It is not settled cash. Gross issuer proceeds from new shares are 60, not the total 80.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

prospectus

Offering disclosure document under the applicable securities framework.

IN USE review the prospectus

registration statement

Filing containing disclosures for the relevant registered offering process.

IN USE identify the registration statement

underwriting agreement

Contract defining the parties' offering obligations.

IN USE review the underwriting agreement

firm commitment

Underwriting arrangement with purchase obligations defined by the actual agreement.

IN USE distinguish firm-commitment underwriting

best efforts

Arrangement defined by its actual terms without assuming a firm purchase commitment.

IN USE clarify best-efforts terms

overallotment option

Option for additional securities under the specified offering arrangement.

IN USE explain the overallotment option

clarification request

Question that resolves an unclear meaning or instruction.

IN USE make a targeted clarification request

source attribution

Identification of where information came from.

IN USE preserve source attribution

working assumption

Provisional premise used while information is incomplete.

IN USE challenge a working assumption

scope boundary

Limit of the work or authority being discussed.

IN USE state the scope boundary

action owner

Named person responsible for a specified next step.

IN USE confirm the action owner

check-back

Restatement used to verify that a message was understood.

IN USE complete a check-back

Precision check

Offering terms, permitted communications, investor eligibility, commitments, pricing authority, and settlement depend on the actual transaction and law. No offering is being recommended or conducted here.

Phrases you can actually use

C Notice the language / 1 of 2

LABEL THE DEMAND

"These are nonbinding indications on the current provisional basis."

QUANTIFY CAREFULLY

"The indicated book is one and a half times the target size."

SEPARATE PROCEEDS

"The secondary component goes to selling shareholders, not the issuer."

PRESERVE CONDITIONS

"Demand may change with price and final terms."

CLARIFY STATUS

"Allocation and pricing are not final, and settlement has not occurred."

DEFINE THE COMMITMENT

"We need the actual underwriting agreement, not an assumption from the bank's involvement."

AVOID ENDORSEMENT LANGUAGE

"Regulatory effectiveness is not an endorsement of the investment's merits."

CLOSE THE UPDATE

"We can report indicated demand while keeping funding and execution risk visible."

Indicated versus committed

Indicated expresses potential demand under its actual terms; committed requires the relevant binding status.

Gross versus net proceeds

Gross precedes the specified costs; net depends on the actual deductions.

Primary versus secondary

Primary sales involve new issuer shares; secondary sales involve existing holders selling their shares in this case.

Phrases you can actually use

C Notice the language / 2 of 2

CLARIFY THE QUESTION

"Are you asking about the finding or the next step?"

INVITE CORRECTION

"Please correct me if I have misunderstood that detail."

ATTRIBUTE INFORMATION

"That is what the current record says; it has not been independently confirmed."

SEPARATE POSSIBILITY

"That is a possibility, not an agreed outcome."

CHECK SCOPE

"That decision sits outside my authority."

PIN DOWN RESPONSIBILITY

"Who is responsible for that specific next step?"

REPAIR MISUNDERSTANDING

"Let me restate the distinction more clearly."

CLOSE AN EXCHANGE

"We agree on the action, the owner, and the point for review."

Reported versus verified

Reported attributes information to a source; verified indicates it has been checked. Do not use the words interchangeably.

Could versus will

Could introduces a possibility. Will commits to an action or predicts an outcome; check whether that certainty is justified.

By versus at

By gives a latest time; at identifies a scheduled moment. State the time zone when people work across locations.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which demand statement is accurate?

A Indications equal 1.5 times the target on the provisional basis
B The issuer has received 120 million in cash
C Every indication is a final binding allocation
D The target automatically increases to 120 million

2. Which statement separates offering components?

A All proceeds go to existing shareholders
B Secondary means a second deposit into the issuer account
C Sixty million is primary and twenty million is secondary before costs
D All eighty million goes to the issuer

3. What can the banker not infer from a large book alone?

A Final price, allocation, and settled funding
B The supplied indicative amount
C The stated target size
D The arithmetic coverage ratio

4. Which document defines underwriting obligations?

A The actual underwriting agreement
B A headline saying the book is strong
C An unrelated investor's portfolio report
D The issuer's preferred press headline

Answers and explanations: page 97.

A one-and-a-half-times book is not cash received

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

offering price / primary shares / underwriting agreement / bookbuilding / order book / prospectus / secondary shares / indications of interest / Issuer proceeds / Allocation

01 **Mina:** We have one hundred twenty million dollars of interest for an eighty-million-dollar offering. Can we announce that the funding is secured?

02 **James:** Not from these [1] _____. The demand is nonbinding and uses the current provisional pricing basis.

03 **Mina:** We can still describe the indicated book as one and a half times the target, provided those qualifications stay attached.

04 **James:** Yes. The [2] _____ is a useful demand signal, not a record of cash already received.

05 **Mina:** The target consists of sixty million of new shares and twenty million sold by existing shareholders.

06 **James:** Then the [3] _____ generate the issuer component, while the existing-holder sale is separate.

07 **Mina:** Some colleagues have described the full eighty million as money available for the company's expansion plan.

08 **James:** That ignores the [4] _____. The twenty-million component goes to the selling shareholders before the relevant costs.

09 **Mina:** We also have not deducted fees or expenses, so even the sixty-million issuer figure is gross.

10 **James:** Correct. [5] _____ need both distinctions: who receives the money and which deductions the figure includes.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 64.

11 **Mina:** Investors may change their demand when they see the final price or terms, even if the initial conversations were encouraging.

12 **James:** Exactly. The final [6] _____ and terms are not established merely by the current demand total.

13 **Mina:** The team should also avoid telling an interested investor that a specific amount is reserved before the allocation process is complete.

14 **James:** Yes. [7] _____ is a separate stage, and any statement must reflect the actual authority and status.

15 **Mina:** Does the bank's involvement mean it is automatically obligated to purchase any securities investors do not take?

16 **James:** We need the [8] _____. The role and commitment depend on its terms, not on a general label.

17 **Mina:** We will use the reviewed offering materials rather than improvise claims about guaranteed demand or future trading performance.

18 **James:** Good. The [9] _____ and other authorized communications need to be consistent with the actual facts and applicable rules.

19 **Mina:** My update will say indicated demand is 1.5 times the target, with pricing, allocation, and settlement still outstanding.

20 **James:** That accurately describes [10] _____ progress while preserving execution uncertainty and the difference between the total deal and the issuer's gross primary proceeds.

07

ANSWERS / EXPLANATIONS: PAGE 98

1. indications of interest | 2. order book | 3. primary shares | 4. secondary shares | 5. Issuer proceeds | 6. offering price | 7. Allocation | 8. underwriting agreement | 9. prospectus | 10. bookbuilding

Interest fell when the terms changed

F Say it

After a revised provisional price, nonbinding indications fall from USD 120 million to USD 90 million against the same USD 80 million target. No settlement occurs.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

nonbinding / settled / million / decreased

Banker: "The indicated demand has [1] _____."

Issuer: "The target remains eighty [2] _____."

Banker: "The indications are still [3] _____."

Issuer: "This is not confirmation of [4] _____ funding."

ANSWERS / EXPLANATIONS: PAGE 98

1. decreased | 2. million | 3. nonbinding | 4. settled

Rehearse with a fixed script

1. Read the corrected update and distinguish 120 of indications, 80 of total size, and 60 of gross primary proceeds.

2. Switch roles and explain why the 20-million secondary component is not issuer funding.

3. Complete the four-line follow-up with the supplied choices. Check the explanations, then read the corrected exchange twice, changing roles.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

A public rumor does not release a private fact

A Read the situation

Decline an improper information request and route uncertainty through compliance without confirming confidential details.

Banking analyst Dev works on confidential transaction material. A colleague in an investment team asks whether a public acquisition rumor is true, hoping to inform a portfolio decision. Dev has not been authorized to share the material or confirm the transaction. Compliance officer Rosa explains the need to preserve information barriers and use the actual escalation process. The case supplies no legal determination that information is public or permission to trade.

PEOPLE / Dev: Investment-banking analyst | Rosa: Compliance officer

A PROFESSIONAL BOUNDARY IS NOT PERSONAL DISTRUST

Decline the information request clearly without accusing the colleague or giving a hint that confirms the confidential fact. Shared employment does not create universal access.

Briefing checks

Circle one answer in each item. Use the briefing.

1. Why is the public rumor insufficient here?

A Every rumor makes all deal information public
B It automatically permits a portfolio trade
C It cancels the client confidentiality obligation
D It does not authorize confirmation from confidential material

2. Who requested the information?

A The authorized deal client through its agreed process
B A public filing system
C A regulator whose request has been verified
D A colleague in an investment team

3. What permission is supplied?

A Unrestricted internal sharing
B Automatic permission to confirm the rumor
C A legal determination that all material is public
D No permission to disclose or trade

Answers and explanations: page 99.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

material nonpublic information

Nonpublic information meeting the relevant materiality standard.

IN USE identify potential material nonpublic information

information barrier

Controls separating access and communication between activities.

IN USE maintain the information barrier

need-to-know access

Access limited to a legitimate authorized purpose.

IN USE restrict need-to-know access

wall-crossing

Controlled process for bringing someone inside an information boundary under actual rules.

IN USE follow the wall-crossing process

restricted list

Controlled list used for specified compliance restrictions.

IN USE follow restricted-list controls

watch list

Controlled monitoring list under the firm's actual compliance framework.

IN USE protect watch-list confidentiality

preclearance

Required review or authorization before a specified activity.

IN USE obtain required preclearance

conflict of interest

Competing interest that may affect duties or judgment.

IN USE identify a conflict of interest

client confidentiality

Duty or obligation to protect relevant client information.

IN USE preserve client confidentiality

selective disclosure

Sharing information with a limited audience under circumstances needing legal or policy review.

IN USE assess selective-disclosure concerns

public dissemination

Distribution making information public under the relevant standard.

IN USE verify public dissemination

compliance escalation

Routing an issue to the designated compliance process.

IN USE initiate compliance escalation

Precision check

A rumor and an authorized public disclosure are different. Confirming a rumor from private deal knowledge can itself disclose sensitive information.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

deal team

Group authorized for the relevant transaction work.

IN USE identify the authorized deal team

public-side research

Research using information permitted for the relevant public-side activity.

IN USE use public-side research

restricted access log

Record of controlled access to sensitive materials.

IN USE maintain the restricted access log

trade restriction

Limit on trading under applicable law or controls.

IN USE observe a trade restriction

accidental receipt

Unintended receipt of information or material.

IN USE report accidental receipt

record preservation

Keeping relevant records intact under the applicable process.

IN USE follow record-preservation requirements

clarification request

Question that resolves an unclear meaning or instruction.

IN USE make a targeted clarification request

source attribution

Identification of where information came from.

IN USE preserve source attribution

working assumption

Provisional premise used while information is incomplete.

IN USE challenge a working assumption

scope boundary

Limit of the work or authority being discussed.

IN USE state the scope boundary

action owner

Named person responsible for a specified next step.

IN USE confirm the action owner

check-back

Restatement used to verify that a message was understood.

IN USE complete a check-back

Precision check

Do not improvise a legal materiality judgment, disclose list status, or assume that consent from a colleague removes restrictions. Follow actual legal and compliance requirements before action.

Phrases you can actually use

C Notice the language / 1 of 2

DECLINE WITHOUT HINTING

"I cannot confirm or discuss confidential transaction information."

NAME THE BOUNDARY

"My access for banking work does not authorize sharing with the investment team."

ROUTE THE QUESTION

"Please use the designated compliance process for that request."

AVOID RUMOR LOGIC

"A public rumor does not make our private information public."

PRESERVE UNCERTAINTY

"We need the appropriate review before treating the information as cleared."

LIMIT DISTRIBUTION

"Do not forward the material beyond the authorized recipients."

REPORT AN ERROR

"I received this unintentionally and have contacted the appropriate compliance team."

KEEP ROLES DISTINCT

"Portfolio analysis must use information permitted for that activity."

Cannot confirm versus probably true

Cannot confirm maintains the boundary; probably true can leak a substantive hint.

Publicly rumored versus publicly disclosed

A rumor may be public while the underlying verified fact remains nonpublic.

Internal versus authorized

Internal identifies organizational location; authorized identifies permission for the actual access or use.

Phrases you can actually use

C Notice the language / 2 of 2

CLARIFY THE QUESTION

"Are you asking about the finding or the next step?"

INVITE CORRECTION

"Please correct me if I have misunderstood that detail."

ATTRIBUTE INFORMATION

"That is what the current record says; it has not been independently confirmed."

SEPARATE POSSIBILITY

"That is a possibility, not an agreed outcome."

CHECK SCOPE

"That decision sits outside my authority."

PIN DOWN RESPONSIBILITY

"Who is responsible for that specific next step?"

REPAIR MISUNDERSTANDING

"Let me restate the distinction more clearly."

CLOSE AN EXCHANGE

"We agree on the action, the owner, and the point for review."

Reported versus verified

Reported attributes information to a source; verified indicates it has been checked. Do not use the words interchangeably.

Could versus will

Could introduces a possibility. Will commits to an action or predicts an outcome; check whether that certainty is justified.

By versus at

By gives a latest time; at identifies a scheduled moment. State the time zone when people work across locations.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which reply maintains the boundary?

A I cannot confirm confidential matters; please use compliance
B The rumor is basically right, but do not quote me
C We work here, so all information is shared
D I will send the slide without the client name

2. What should determine access?

A The legitimate authorized purpose and applicable controls
B Curiosity about a colleague's deal
C Shared employment alone
D The possibility of a better portfolio return

3. What should happen after accidental receipt of sensitive material?

A Delete the history to avoid a record
B Report promptly through the actual process and preserve records as directed
C Forward it to test whether others think it is important
D Trade before anyone classifies it

4. Which statement about a rumor is correct?

A A hint is harmless if the full document stays private
B Public speculation does not itself authorize private confirmation
C Any news mention removes every restriction
D A colleague can waive client confidentiality informally

Answers and explanations: page 99.

A public rumor does not release a private fact

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

client confidentiality / public dissemination / restricted list / public-side research / need-to-know access / wall-crossing / information barrier / material nonpublic information / record preservation / compliance escalation

01 **Dev:** A colleague on the investment team asked whether an acquisition rumor is true. They know I work on confidential transaction material.

02 **Rosa:** Do not confirm or hint at the answer. Your [1] _____ obligations remain relevant even when the question starts with public speculation.

03 **Dev:** I was going to say I could not send the documents but could give a quick verbal sense of whether the story was accurate.

04 **Rosa:** That could still cross the [2] _____. Protecting the attachment while revealing its substance does not preserve the boundary.

05 **Dev:** The colleague argues that we work for the same organization and that the information could improve a portfolio decision.

06 **Rosa:** Shared employment does not establish [3] _____ for that activity. Banking access and portfolio-research access serve different authorized purposes.

07 **Dev:** I should decline without saying anything that confirms whether the rumored transaction is one of our confidential matters.

08 **Rosa:** Exactly. Use [4] _____ for the request rather than decide on your own that an informal answer is harmless.

09 **Dev:** Does a newspaper rumor mean the information is now public enough for the team to use without further checking?

10 **Rosa:** A rumor is not proof of [5] _____ of the verified facts. The actual information and legal or policy position need review.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 73.

11 **Dev:** We should treat the material as potentially sensitive rather than make our own quick conclusion that it could not matter to investors.

12 **Rosa:** Correct. Potential [6] _____ must be handled through the actual controls, not through an improvised materiality judgment.

13 **Dev:** If there were a legitimate reason to involve someone from another team, the access process would need to be followed first.

14 **Rosa:** Yes. Any [7] _____ must follow the firm's requirements and applicable law, including the consequences for the person's activities.

15 **Dev:** I also should not reveal whether the company appears on a confidential monitoring or restriction list.

16 **Rosa:** Correct. A [8] _____ or monitoring status can carry sensitive information; follow the actual handling rules.

17 **Dev:** I will tell the colleague I cannot confirm confidential matters and that their question needs the designated compliance route.

18 **Rosa:** Good. Their [9] _____ should remain based on information permitted for that role and its applicable restrictions.

19 **Dev:** If material is accidentally sent across the boundary, I will report it promptly rather than forward it or erase the history.

20 **Rosa:** Follow the actual [10] _____ and access instructions. A clear boundary and timely escalation protect the client and both teams without requiring you to make an unauthorized legal decision.

ANSWERS / EXPLANATIONS: PAGE 100

1. client confidentiality | 2. information barrier | 3. need-to-know access | 4. compliance escalation | 5. public dissemination | 6. material nonpublic information | 7. wall-crossing | 8. restricted list | 9. public-side research | 10. record preservation

The wrong recipient received a deck

F Say it

An employee accidentally receives a confidential transaction deck intended for another team. No permission to use or redistribute it is supplied.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

instructions / receipt / redistribute / channel

Employee: "This appears to be an accidental [1] _____."

Compliance: "Do not [2] _____ it beyond the authorized process."

Employee: "I will report the issue through the designated [3] _____."

Compliance: "Follow the applicable record-preservation [4] _____."

ANSWERS / EXPLANATIONS: PAGE 100

1. receipt | 2. redistribute | 3. channel | 4. instructions

Rehearse with a fixed script

1. Read the corrected conversation and practice the refusal without adding a hint about the transaction.

2. Switch roles and distinguish internal employment, authorized access, and public dissemination.

3. Complete the four-line follow-up with the supplied choices. Check the explanations, then read the corrected exchange twice, changing roles.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Explaining currency exposure without promising a perfect hedge

E More workplace conversations / 1-10

Distinguish asset performance, reporting currency, and the scope of an authorized currency hedge.

A fictional fund reports in US dollars and owns assets denominated in another currency. A client asks why a positive local-currency asset return does not automatically produce the same US-dollar return. Portfolio specialist Anika explains currency translation and the limits of hedging. No hedge trade, hedge ratio, or product recommendation has been authorized.

PEOPLE / Client: Institutional client contact | Anika: Portfolio specialist

Use each bank entry once, without changing its form. Answers follow turn 20.

WORD + PHRASE BANK

currency exposure / hedge ratio / basis risk / reporting currency / return decomposition / currency hedge

01 **Client:** The overseas assets rose in their local currency, but our dollar report shows a different result. Is one of the reports wrong?

02 **Anika:** Not necessarily. The asset return and the currency translation can affect the dollar result differently, so we need the actual basis.

03 **Client:** The report should identify which currency measures the underlying asset and which currency is used for our account summary.

04 **Anika:** Exactly. The [1] _____ changes how the result is expressed; it does not change the historical local-currency price by relabeling it.

05 **Client:** A change in the exchange rate can therefore affect what the investment is worth when expressed in dollars.

06 **Anika:** That is part of [2] _____. We should not describe a positive local result as a guaranteed positive result in every currency.

07 **Client:** Would hedging remove all of the uncertainty and make the overseas investment effectively risk-free?

08 **Anika:** No. A [3] _____ addresses a defined exposure, not every market, credit, liquidity, or implementation risk.

09 **Client:** We would need to know how much exposure is covered and whether the covered amount stays aligned as the portfolio changes.

10 **Anika:** Yes. The [4] _____ and its measurement basis matter, along with timing, costs, and the actual instrument.

The conversation, continued

E More workplace conversations / 11-20

Continue with the word bank on page 76.

11 **Client:** I should not assume that a target hedge percentage means the actual exposure is perfectly matched at every moment.

12 **Anika:** Correct. Changes in asset values or cash flows can affect the relationship, and the operational details need monitoring under the mandate.

13 **Client:** There may also be differences between the exposure we want to offset and what the selected instrument actually tracks.

14 **Anika:** That can create [5] _____, so the explanation should not promise a perfect offset merely because the word hedge appears.

15 **Client:** We should evaluate any proposal against the approved policy rather than treat this explanation as authorization for a trade.

16 **Anika:** Exactly. We are clarifying the risk, not choosing an instrument or granting trading authority.

17 **Client:** The next report can separate local performance, currency effects, and any actual hedging contribution using the stated methodology.

18 **Anika:** That supports a clear [6] _____ without claiming that a simple label explains every difference.

19 **Client:** I will ask for the current authorized policy and the methodology before discussing whether a change is needed.

20 **Anika:** Good. That keeps the conversation grounded in the actual mandate and evidence, with no promise of risk-free results or automatic action.

ANSWERS / EXPLANATIONS: PAGE 101

1. reporting currency | 2. currency exposure | 3. currency hedge | 4. hedge ratio | 5. basis risk | 6. return decomposition

A local gain was described as a dollar guarantee

F Say it in a new situation

An asset gains in its local currency. The dollar effect depends on the actual exchange-rate movement, which is not supplied.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

distinct / rate / established / local

Client: "The supplied gain is in the [1] _____ currency."

Specialist: "The dollar result also depends on the exchange [2] _____."

Client: "A positive dollar return is not [3] _____."

Specialist: "Keep the two measurement bases [4] _____."

ANSWERS / EXPLANATIONS: PAGE 101

1. local | 2. rate | 3. established | 4. distinct

Read, switch, repeat

1. Check the four answers and read the complete exchange aloud.

2. Switch roles. Read it again with the word bank covered.

3. Return to the extended conversation. Read turns 1-10, then switch roles for turns 11-20. Use the corrected expressions.

SOLO PRACTICE

Read both roles. Pause briefly at each change of speaker. Repeat any line that needed an answer check.

Reconciling a partial fill before replacing an order

E More workplace conversations / 1-10

Describe order status precisely and prevent an unconfirmed cancellation from being treated as completed.

A fictional authorized order is for 1,000 shares. Execution records show fills of 300 and 200 shares. A request to cancel the remaining quantity has been sent but not confirmed. Trader Ben and operations analyst Leila reconcile the status before any further authorized action. No settlement date, replacement authorization, or additional fill is supplied.

PEOPLE / Ben: Trader | Leila: Operations analyst

Use each bank entry once, without changing its form. Answers follow turn 20.

WORD + PHRASE BANK

Settlement / cancellation request / audit trail / remaining quantity / execution record / partial fill

01 **Ben:** The original order was for one thousand shares. I requested cancellation, so I was about to treat the whole order as inactive.

02 **Leila:** The execution record already shows fills of three hundred and two hundred shares. We need to separate those events from the cancellation request.

03 **Ben:** That means five hundred shares have executed, with five hundred remaining before any later confirmed event.

04 **Leila:** Correct. It is a [1] _____, not an unexecuted order that can simply be described as though nothing happened.

05 **Ben:** The cancellation message was sent for the remainder, but I do not yet have an acknowledgment that it was completed.

06 **Leila:** Then the [2] _____ is still distinct from a confirmed cancellation.

07 **Ben:** We should verify whether any further execution occurred before assuming the remaining quantity is no longer live.

08 **Leila:** Yes. Reconcile the actual [3] _____ and the current order status through the approved process.

09 **Ben:** I do not want a replacement instruction to duplicate exposure if the original remainder is still capable of filling.

10 **Leila:** That is why the [4] _____ and its status need to be clear before any further authorized action.

The conversation, continued

E More workplace conversations / 11-20

Continue with the word bank on page 79.

11 **Ben:** The update should say five hundred executed and cancellation of the remainder requested, not one thousand canceled.

12 **Leila:** Exactly. It should also avoid saying settled when the record only establishes execution.

13 **Ben:** The actual transfer of cash and securities is a separate event, and this case does not supply its completion.

14 **Leila:** Correct. [5] _____ must be reported from its own verified status and applicable process.

15 **Ben:** I will preserve the order identifier, fill details, and cancellation message so the team can reconstruct the sequence accurately.

16 **Leila:** Keep the [6] _____ intact and route any discrepancy through the normal controls.

17 **Ben:** Once the current status is confirmed, any replacement or further action still needs the appropriate authorization.

18 **Leila:** Yes. Reconciling the record does not itself create authority for a new trade.

19 **Ben:** My immediate report will contain the supplied fills, the five-hundred-share remainder, and the unconfirmed cancellation status.

20 **Leila:** That is precise. It avoids treating an intention as an outcome and helps prevent duplicate exposure without inventing a settlement date or new instruction.

ANSWERS / EXPLANATIONS: PAGE 102

1. partial fill | 2. cancellation request | 3. execution record | 4. remaining quantity | 5. Settlement | 6. audit trail

A sent request was marked completed

F Say it in a new situation

An order has 500 shares unfilled. A cancellation request is sent, but no completion acknowledgment is received.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

unfilled / trail / requested / status

Trader: "Five hundred shares remain [1] _____."

Operations: "The cancellation has been [2] _____, not confirmed."

Trader: "We must verify the current order [3] _____."

Operations: "Preserve the full audit [4] _____."

ANSWERS / EXPLANATIONS: PAGE 102

1. unfilled | 2. requested | 3. status | 4. trail

Read, switch, repeat

1. Check the four answers and read the complete exchange aloud.

2. Switch roles. Read it again with the word bank covered.

3. Return to the extended conversation. Read turns 1-10, then switch roles for turns 11-20. Use the corrected expressions.

SOLO PRACTICE

Read both roles. Pause briefly at each change of speaker. Repeat any line that needed an answer check.

Clarifying a floating-rate financing illustration

E More workplace conversations / 1-10

Distinguish the benchmark, spread, illustrative rate, and total financing cost without implying a commitment.

A fictional corporate financing proposal quotes a benchmark currently supplied as 4.5 percent plus a spread of 200 basis points. For this arithmetic illustration only, no floor, cap, compounding convention, or other adjustment applies, so the indicated annual rate is 6.5 percent before fees. The proposal is indicative, not a committed facility. Actual reset terms, fees, covenants, conditions, and authority require review.

PEOPLE / CFO: Corporate finance officer | Banker: Financing adviser

Use each bank entry once, without changing its form. Answers follow turn 20.

WORD + PHRASE BANK

conditions precedent / reset convention / indicative proposal / benchmark rate / spread / all-in cost

01 **CFO:** The proposal says benchmark plus two hundred basis points. Does that mean the company will pay a fixed two-percent rate?

02 **Banker:** No. The spread is added to the stated benchmark under this simplified illustration; it is not the whole rate.

03 **CFO:** Two hundred basis points means two percentage points, and the supplied benchmark is currently four and a half percent.

04 **Banker:** Correct. The [1] _____ gives an indicated six-and-a-half-percent rate here, before fees and with the stated exclusions.

05 **CFO:** That calculation does not make the benchmark fixed for the full life of any eventual financing.

06 **Banker:** Exactly. The [2] _____ and its application depend on the actual terms, including when the rate is determined or reset.

07 **CFO:** We need to review those reset provisions rather than assume today's reference figure will apply to every future period.

08 **Banker:** Yes. The [3] _____ is part of the real terms, not something supplied by this simple addition.

09 **CFO:** The draft also lists fees separately, so six and a half percent is not a complete statement of every financing cost.

10 **Banker:** Correct. Any [4] _____ comparison needs a defined basis and the actual costs, not just the headline rate.

The conversation, continued

E More workplace conversations / 11-20

Continue with the word bank on page 82.

11 **CFO:** I should also check whether the real facility includes floors, caps, or other provisions excluded from this example.

12 **Banker:** Yes. The exclusions make the arithmetic clear here; they do not establish that such provisions are absent from every financing arrangement.

13 **CFO:** The board sees the bank name and assumes the money is already committed. The document is labeled indicative.

14 **Banker:** Then preserve that [5] _____ status. We have not established a binding commitment or satisfaction of the actual conditions.

15 **CFO:** The next review should cover the financial terms, covenant definitions, conditions, and the authority needed to proceed.

16 **Banker:** Exactly. The relevant [6] _____ and other terms need proper legal and financial review in the actual transaction.

17 **CFO:** I will describe the six-and-a-half-percent figure as illustrative and before fees, using the supplied current benchmark.

18 **Banker:** That is accurate. Do not call it a fixed lifetime rate or a verified total cost.

19 **CFO:** And I will report the financing as under discussion rather than treat this conversation as authorization to sign or draw funds.

20 **Banker:** Good. Clear language separates the arithmetic, the contractual terms, and the commitment status instead of compressing them into one reassuring number.

ANSWERS / EXPLANATIONS: PAGE 103

1. spread | 2. benchmark rate | 3. reset convention | 4. all-in cost | 5. indicative proposal | 6. conditions precedent

The benchmark changes but the spread does not

F Say it in a new situation

For the same simplified arithmetic only, the benchmark rises to 5 percent and the spread remains 200 basis points. No other adjustments apply; the illustrated rate is 7 percent before fees.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

points / fees / percent / seven

CFO: "The spread remains two hundred basis [1] _____."

Banker: "The benchmark is now five [2] _____."

CFO: "The illustrated rate is [3] _____ percent."

Banker: "That figure still excludes [4] _____."

ANSWERS / EXPLANATIONS: PAGE 103

1. points | 2. percent | 3. seven | 4. fees

Read, switch, repeat

1. Check the four answers and read the complete exchange aloud.

2. Switch roles. Read it again with the word bank covered.

3. Return to the extended conversation. Read turns 1-10, then switch roles for turns 11-20. Use the corrected expressions.

SOLO PRACTICE

Read both roles. Pause briefly at each change of speaker. Repeat any line that needed an answer check.

01 Briefing and language checks

Clarifying an institutional investment mandate

A Briefing checks / page 4

1. Which need has the shorter horizon?

D. The USD 2 million payment in six months
The committed payment is due in six months, earlier than the growth horizon.

2. What does willingness to accept volatility fail to remove?

D. The committed cash requirement
Risk willingness does not cancel the supplied payment obligation and its timing.

3. What has been authorized?

A. No allocation or trade has been approved
The brief explicitly leaves allocation, product choice, and trading authorization unapproved.

D Language checks / page 9

1. Which summary preserves the two horizons?

A. Five-year growth objective with a separate six-month payment need
The correct summary retains both the long-term objective and the near-term obligation.

2. What should be clarified before an allocation discussion?

B. The cash-flow schedule, constraints, and decision authority
Requirements and authority frame the actual mandate rather than a performance headline.

3. Which statement avoids an unsupported commitment?

A. The return figure is an objective subject to risk
An investment objective remains uncertain and does not become guaranteed through documentation.

4. Which status is accurate?

C. Mandate clarification is underway; allocation approval is outstanding
The case supplies clarification only, with no completed investment authorization.

01 Conversation answers

Clarifying an institutional investment mandate

E Dialogue gaps 1-5

Pages 10-11

1. investment mandate. Turn 2. The investment mandate includes objectives, constraints, and authority, not only a general willingness to accept volatility.

2. liquidity requirement. Turn 4. The liquidity requirement identifies the funds needed for the committed six-month payment and must remain separate from the longer growth objective.

3. time horizon. Turn 6. The time horizon depends on the particular goal or obligation, so not every asset can automatically be treated as five-year money.

4. Risk capacity. Turn 8. Risk capacity concerns the financial ability to bear loss or illiquidity and is not settled solely by willingness to tolerate price movements.

5. cash-flow schedule. Turn 10. The cash-flow schedule identifies the amounts and timing that the manager needs to understand before assessing the mandate and proposed allocation.

F Transfer answers 1-2

Page 12

1. proposal

Trustee: "The revised target is a proposal."

The email suggests a change but does not establish the required approval.

2. authorized

Manager: "The mandate amendment is not yet authorized."

The board has not approved the change under the supplied governance.

E Dialogue gaps 6-10

Pages 10-11

6. return objective. Turn 12. The return objective is a target to evaluate against risk and constraints, not an assured result created by writing a percentage into the mandate.

7. client governing body. Turn 14. The client governing body identifies who has the relevant authority, preventing a recommendation from being mistaken for approval.

8. Discretionary authority. Turn 16. Discretionary authority is the specific decision-making power actually granted and must not be inferred from an introductory conversation.

9. investment policy statement. Turn 18. The investment policy statement records the agreed objectives, constraints, and governance, subject to the actual approval process.

10. suitability assessment. Turn 20. The suitability assessment evaluates the proposal against actual client circumstances and requirements rather than choosing an investment from incomplete intake information.

F Transfer answers 3-4

Page 12

3. authority

Trustee: "The board remains the decision authority."

The governing board retains the approval role identified in the case.

4. guarantee

Manager: "A target is not a return guarantee."

A desired outcome does not become certain through a proposed instruction.

02 Briefing and language checks

Explaining portfolio positioning and concentration

A Briefing checks / page 13

1. What is the technology active weight in percentage points?

C. Eight percentage points overweight
Twenty-eight percent minus twenty percent equals eight percentage points.

2. Why does forty holdings not settle diversification?

C. Several share the same demand driver
The case identifies common exposure despite the number of securities.

3. What decision has been supplied?

B. A request for risk review
The manager requests analysis without an established rule-based conclusion or trade.

D Language checks / page 18

1. Which statement labels the weight difference correctly?

B. Technology is eight percentage points above the benchmark
The arithmetic difference is eight percentage points, equivalent to eight hundred basis points.

2. What should a diversification explanation examine?

B. Shared underlying risk drivers
Several holdings can share a driver, so count alone does not establish independent exposure.

3. What is needed before calling the weight a breach?

C. The applicable mandate or limit and its measurement basis
A relative position is not automatically a breach without the actual governing limit.

4. Which conclusion matches the request?

D. Review the exposure and authorized options
The case calls for analysis and gives no trade authorization or universal risk conclusion.

02 Conversation answers

Explaining portfolio positioning and concentration

E Dialogue gaps 1-5

Pages 19-20

1. percentage points. Turn 2. Percentage points express the arithmetic difference between twenty-eight percent and twenty percent, not the relative percentage increase.

2. active weight. Turn 4. Active weight is portfolio weight minus benchmark weight, which is eight percentage points in the supplied example.

3. factor exposure. Turn 6. Factor exposure identifies sensitivity to common underlying drivers, which can be shared by several differently named holdings.

4. concentration risk. Turn 8. Concentration risk can arise from clustered exposure to a common driver rather than only a large single holding.

5. look-through exposure. Turn 10. Look-through exposure identifies the underlying holdings or drivers behind a fund wrapper rather than relying only on its label.

F Transfer answers 1-2

Page 21

1. unchanged

Analyst: "The portfolio weight remained unchanged."

The case keeps the portfolio weight at twenty-five percent throughout.

2. increased

Manager: "The benchmark weight increased."

The reference weight rose from twenty to twenty-three percent.

E Dialogue gaps 6-10

Pages 19-20

6. position limit. Turn 12. A position limit is the applicable maximum or constraint, which must be identified before a relative overweight can be called a breach.

7. stress scenario. Turn 14. A stress scenario applies stated adverse assumptions to examine potential effects and should not be presented as a prediction of what must happen.

8. risk budget. Turn 16. The risk budget is the risk allocation specified by the investment process and must be assessed using the relevant measures and assumptions.

9. Rebalancing. Turn 18. Rebalancing is an actual adjustment toward targets or constraints and should follow the appropriate analysis and authorization rather than be inferred from a review request.

10. diversification. Turn 20. Diversification distributes exposure but does not eliminate risk or establish that every holding will offset losses in another.

F Transfer answers 3-4

Page 21

3. points

Analyst: "The active overweight is now two percentage points."

Subtracting the twenty-three-percent benchmark from the twenty-five-percent portfolio weight gives two percentage points.

4. trade

Manager: "That change does not prove a portfolio trade occurred."

The supplied difference changed through the benchmark, not an executed portfolio transaction.

03 Briefing and language checks

Presenting performance on a comparable basis

A Briefing checks / page 22

1. What is the stated net portfolio return?

C. 7 percent
The brief labels seven percent as net and eight percent as gross.

2. What is the arithmetic net excess over the benchmark?

D. One percentage point
Seven percent minus six percent equals one percentage point on the supplied basis.

3. What is not established by these figures?

B. Every individual investor's cash-flow return
The brief provides portfolio measures, not each investor's separate contributions and withdrawals.

D Language checks / page 27

1. Which slide headline is correct?

B. Net return 7 percent; benchmark 6 percent; net excess 1 percentage point
This headline keeps the supplied net, benchmark, and arithmetic difference correctly labeled.

2. Which question clarifies net of fees?

B. Which deductions are included in this measure?
The scope of deductions must be specified rather than inferred from the label alone.

3. Why might a client's cash-flow return differ?

D. The amount and timing of contributions and withdrawals can differ
Individual cash-flow experience is a different measurement question from the supplied portfolio figures.

4. Which presentation preserves fair interpretation?

B. Keep period, currency, fee basis, and limitations with the figures
Relevant labels and limits let the audience interpret the performance comparison accurately.

03 Conversation answers

Presenting performance on a comparable basis

E Dialogue gaps 1-5

Pages 28-29

1. gross return. Turn 2. Gross return is the supplied eight-percent measure before its specified deductions, not the seven-percent net result.

2. excess return. Turn 4. Excess return is the difference from the stated benchmark, here one percentage point on the supplied net basis.

3. measurement period. Turn 6. The measurement period identifies the interval being compared and must match when interpreting the supplied performance figures.

4. reporting currency. Turn 6. The reporting currency identifies the currency used for the figures, which must remain consistent in the supplied comparison.

5. Net return. Turn 8. Net return reflects the deductions included in the stated methodology and should not be assumed to include every possible tax or expense.

F Transfer answers 1-2

Page 30

1. cumulative

Analyst: "The supplied figure is cumulative."

The figure describes the total return over the complete three-year period.

2. annual

Manager: "It is not an eighteen-percent annual return."

The brief does not state that eighteen percent was earned in each year.

E Dialogue gaps 6-10

Pages 28-29

6. money-weighted return. Turn 12. Money-weighted return reflects the amount and timing of cash flows, which can differ from the portfolio measure shown in the report.

7. time-weighted return. Turn 14. Time-weighted return is designed to reduce the impact of external cash-flow timing and must be distinguished from a cash-flow-sensitive measure.

8. performance attribution. Turn 16. Performance attribution decomposes results under a defined model and should retain its methodology rather than be presented as an unrestricted causal explanation.

9. simulated performance. Turn 18. Simulated performance comes from a model or backtest rather than an actual live record and must be identified accordingly.

10. drawdown. Turn 20. Drawdown describes a decline from a prior peak and can provide context that a single positive period return does not reveal.

F Transfer answers 3-4

Page 30

3. calculation

Analyst: "An annualized figure needs its own calculation."

Converting the full-period result requires the appropriate method rather than relabeling it.

4. explicit

Manager: "Keep the three-year period explicit."

The time interval must remain visible to avoid overstating the result.

04 Briefing and language checks

Defending an investment thesis under committee challenge

A Briefing checks / page 31

1. What growth does the base case assume?

A. 10 percent
The brief explicitly assigns ten-percent growth to the base case.

2. What is the retention input's status?

A. Management-provided and independently unverified
The input is attributed to management and has not been independently verified.

3. What cannot be calculated from the supplied scenario information alone?

C. A probability-weighted expected outcome
No probabilities are assigned, so a probability-weighted result is not supplied by the two scenarios.

D Language checks / page 36

1. Which response is evidence-conscious?

C. Management supplied the retention input; we still need verification
This response preserves source and uncertainty rather than treating an assumption as evidence.

2. What does a thesis breaker identify?

D. Evidence that would materially undermine the case
A thesis breaker makes the conditions for reassessing the investment case explicit.

3. Which label fits the 2-percent scenario?

C. A downside case under stated assumptions
The brief identifies a conditional downside scenario, not certainty or approval.

4. What should the decision record avoid?

B. Recording discussion as approval when no approval occurred
The record must preserve the actual authority and decision status supplied.

04 Conversation answers

Defending an investment thesis under committee challenge

E Dialogue gaps 1-5

Pages 37-38

1. investment thesis. Turn 2. The investment thesis is the reasoned case and its dependencies, not merely a favorable model output or a management statement.

2. base case. Turn 4. The base case is a scenario built on specified assumptions and must not be presented as a verified or guaranteed future result.

3. downside case. Turn 6. The downside case uses specified adverse assumptions, whose internal consistency and effects need explanation rather than a label alone.

4. sensitivity analysis. Turn 8. Sensitivity analysis shows how outputs respond to changes in inputs, making dependence on uncertain assumptions visible.

5. terminal value. Turn 10. Terminal value estimates value beyond the explicit forecast and can make the result sensitive to long-run assumptions.

F Transfer answers 1-2

Page 39

1. midpoint

Analyst: "I calculated the arithmetic midpoint."

The calculation averages the two scenario values without supplied likelihoods.

2. assigned

Chair: "No probability weights have been assigned."

The brief explicitly leaves all scenario probabilities unspecified.

E Dialogue gaps 6-10

Pages 37-38

6. probability weight. Turn 12. A probability weight supplies the likelihood used in a weighted calculation; none has been assigned in the supplied case.

7. thesis breaker. Turn 14. A thesis breaker is evidence or an event that would materially undermine the case and prompt reassessment rather than automatic defense of the original view.

8. margin of safety. Turn 16. A margin of safety is a buffer under an assessed valuation approach and does not make weak assumptions reliable by itself.

9. Position sizing. Turn 18. Position sizing determines exposure under the portfolio's risk and mandate process and is not settled solely by analyst conviction.

10. decision record. Turn 20. The decision record must state the actual review outcome and follow-up rather than transform a committee discussion into investment approval.

F Transfer answers 3-4

Page 39

3. unsupported

Analyst: "The expected-return label is therefore unsupported."

The label implies a weighting basis that the supplied analysis does not establish.

4. separate

Chair: "Keep the scenario outputs and their assumptions separate."

The scenarios should remain identifiable rather than be combined under an unjustified probability claim.

05 Briefing and language checks

Explaining enterprise value and the equity bridge

A Briefing checks / page 40

1. What enterprise value does the illustrative multiple imply?

B. USD 120 million
Fifteen million of normalized EBITDA multiplied by eight gives one hundred twenty million.

2. What is the simplified equity value?

C. USD 100 million
The supplied bridge subtracts thirty million of debt and adds ten million of eligible cash to one hundred twenty million.

3. Which conclusion is not supplied?

B. Actual seller proceeds after fees and taxes
Fees, taxes, and actual seller proceeds are expressly outside the calculation.

D Language checks / page 45

1. Which bridge is correct for the supplied case?

A. 120 minus 30 plus 10 equals 100
Debt is subtracted and eligible cash added under the explicitly supplied simplified bridge.

2. What happens if net debt of 20 is subtracted and debt of 30 is then subtracted again?

D. The same debt is counted twice
Net debt already incorporates the supplied debt, so another debt deduction duplicates it.

3. Which input still needs diligence?

D. The EBITDA normalization
The case specifically identifies normalization as unverified rather than treating the model input as established.

4. Which client statement is too strong?

D. The sellers will receive exactly USD 100 million after every cost
Actual proceeds are not supplied and cannot be guaranteed from this simplified equity value.

05 Conversation answers

Explaining enterprise value and the equity bridge

E Dialogue gaps 1-5

Pages 46-47

1. enterprise value. Turn 2. Enterprise value is the operating-business valuation measure used here, not the amount automatically payable to shareholders after all transaction effects.

2. valuation multiple. Turn 4. The valuation multiple is applied to the specified earnings metric, so eight times fifteen million produces the illustrative one-hundred-twenty-million value.

3. Normalized EBITDA. Turn 6. Normalized EBITDA includes specified adjustments whose justification remains subject to diligence, rather than being a verified cash-flow measure by definition.

4. equity bridge. Turn 8. The equity bridge reconciles enterprise value to equity value using the specified adjustments, here subtracting debt and adding eligible cash.

5. Net debt. Turn 10. Net debt is thirty million of debt less ten million of eligible cash in this example, so subtracting twenty gives the same bridge result.

F Transfer answers 1-2

Page 48

1. twenty

Banker: "Enterprise value remains one hundred twenty million."

The scenario keeps the enterprise value at one hundred twenty million.

2. debt

Client: "We subtract thirty million of debt."

The debt deduction remains thirty million under the supplied bridge.

E Dialogue gaps 6-10

Pages 46-47

6. eligible cash. Turn 12. Eligible cash is the cash included under the actual definition, so not every balance should automatically be added without review.

7. debt-like item. Turn 14. A debt-like item may be treated as debt under the actual transaction definition, but none is included in this deliberately simplified example.

8. Seller proceeds. Turn 16. Seller proceeds concern what sellers actually receive after relevant fees, taxes, and other transaction effects, which this example does not calculate.

9. precedent transactions. Turn 18. Precedent transactions are comparison deals whose metrics and circumstances need alignment rather than assuming every reported multiple is directly comparable.

10. equity value. Turn 20. Equity value is the result attributable to equity under the stated bridge and must remain distinct from both enterprise value and uncalculated net seller receipts.

F Transfer answers 3-4

Page 48

3. cash

Banker: "We add six million of eligible cash."

The eligible cash addition changes to six million in this case.

4. six

Client: "The simplified equity value is ninety-six million."

One hundred twenty minus thirty plus six equals ninety-six million.

06 Briefing and language checks

Challenging revenue quality in transaction diligence

A Briefing checks / page 49

1. What share of reported revenue comes from the customer?

A. 30 percent
Thirty million divided by one hundred million equals thirty percent.

2. What documents are supplied in the data room?

A. Past invoices without a reviewed next-period renewal contract
The brief identifies historical invoices but no reviewed renewal contract for the next period.

3. What conclusion would overstate the gap?

C. No contract exists and all future revenue will disappear
A missing reviewed document does not prove absence of a contract or a certain revenue loss.

D Language checks / page 54

1. Which update best fits the evidence?

A. Past invoices reviewed; future contract support remains outstanding
This statement separates the verified historical material from the unresolved future-contract question.

2. Which numerical description is correct?

C. One customer accounts for 30 percent of trailing revenue
The supplied amounts concern revenue, and thirty divided by one hundred is thirty percent.

3. What should the banker request?

C. The actual agreement and renewal terms for appropriate review
The label needs actual contractual and commercial evidence, not stronger presentation language.

4. Which terms should not be merged without reconciliation?

D. Bookings, backlog, and recognized revenue
These commercial and accounting measures have different definitions and cannot automatically be substituted.

06 Conversation answers

Challenging revenue quality in transaction diligence

E Dialogue gaps 1-5

Pages 55-56

1. contracted recurring revenue. Turn 2. Contracted recurring revenue requires support from the actual contractual terms and definition rather than merely a history of purchases.

2. repeat purchase. Turn 4. A repeat purchase describes another historical transaction and does not alone establish a continuing contractual obligation for the next period.

3. customer concentration. Turn 6. Customer concentration concerns reliance on particular customers, here thirty percent of the supplied trailing revenue from one customer.

4. last-twelve-month revenue. Turn 8. Last-twelve-month revenue is the historical trailing-period measure and must remain separate from a forward management forecast.

5. diligence request list. Turn 10. The diligence request list tracks the actual missing information and its review status without turning an outstanding request into proof of nonexistence.

E Dialogue gaps 6-10

Pages 55-56

6. data room. Turn 12. The data room is the authorized repository for transaction documents, supporting traceable access and review rather than uncontrolled sharing.

7. Bookings. Turn 14. Bookings is a defined measure of orders or commitments and is not automatically the same as revenue recognized in the accounting period.

8. net revenue retention. Turn 16. Net revenue retention includes specified expansion and losses for a defined existing cohort, so its methodology must be stated rather than assumed.

9. management representation. Turn 18. A management representation is a statement from management whose source should remain explicit while the relevant diligence is incomplete.

10. diligence red flag. Turn 20. A diligence red flag identifies an issue needing attention and further work, not a final conclusion that the business claim is false or all future revenue will vanish.

F Transfer answers 1-2

Page 57

1. rate

Analyst: "Thirty-six million is an annualized run rate."

Multiplying one month by twelve creates an annualized measure, not a historical full-year total.

2. thirty

Banker: "The actual trailing revenue is thirty million."

The brief separately supplies thirty million as the historical trailing result.

F Transfer answers 3-4

Page 57

3. persistence

Analyst: "The monthly figure does not establish future persistence."

One month's revenue does not prove that the same level will continue.

4. labeled

Banker: "Keep the historical and annualized measures clearly labeled."

Distinct labels prevent the extrapolation from being presented as realized history.

07 Briefing and language checks

Explaining capital-raising demand and proceeds

A Briefing checks / page 58

1. What is the gross primary component for the issuer?

A. USD 60 million
The new-share component is sixty million; the twenty-million secondary component goes to selling holders before costs.

2. What does the USD 120 million figure describe?

A. Nonbinding indications on the provisional basis
The case explicitly labels the amount as nonbinding indications rather than settled proceeds.

3. Which stages are unfinished?

A. Final allocation, pricing, and settlement
The brief expressly states that allocation, pricing, and settlement have not occurred.

D Language checks / page 63

1. Which demand statement is accurate?

A. Indications equal 1.5 times the target on the provisional basis
One hundred twenty divided by eighty is one and a half, but the indications remain nonbinding.

2. Which statement separates offering components?

C. Sixty million is primary and twenty million is secondary before costs
The case identifies new-share and existing-holder components with different recipients.

3. What can the banker not infer from a large book alone?

A. Final price, allocation, and settled funding
Demand indications do not establish the unfinished execution stages or funding outcome.

4. Which document defines underwriting obligations?

A. The actual underwriting agreement
The commitment depends on the actual contract and framework, not the appearance of bank involvement.

07 Conversation answers

Explaining capital-raising demand and proceeds

E Dialogue gaps 1-5

Pages 64-65

1. indications of interest. Turn 2. Indications of interest express potential demand and are nonbinding in this case, so they do not establish secured funding.

2. order book. Turn 4. The order book compiles the stated demand information, which remains distinct from final allocation, binding commitments, or settled cash.

3. primary shares. Turn 6. Primary shares are newly issued shares sold by the company, accounting for the sixty-million gross issuer component in this illustration.

4. secondary shares. Turn 8. Secondary shares are sold by existing holders, so their sale proceeds do not automatically become funds available to the issuer.

5. Issuer proceeds. Turn 10. Issuer proceeds concern funds received by the company under the actual offering economics and need gross-versus-net and primary-versus-secondary distinctions.

F Transfer answers 1-2

Page 66

1. decreased

Banker: "The indicated demand has decreased."

The amount falls from one hundred twenty to ninety million under the revised basis.

2. million

Issuer: "The target remains eighty million."

The scenario keeps the target size at eighty million dollars.

E Dialogue gaps 6-10

Pages 64-65

6. offering price. Turn 12. The offering price is the actual price set for the securities, which has not yet been finalized in the supplied case.

7. Allocation. Turn 14. Allocation assigns the offered securities under the actual process and remains unfinished despite preliminary expressions of interest.

8. underwriting agreement. Turn 16. The underwriting agreement defines the actual purchase or distribution obligations rather than allowing them to be inferred from bank involvement alone.

9. prospectus. Turn 18. The prospectus contains the relevant offering disclosures and should not be replaced by unsupported assurances in informal communications.

10. bookbuilding. Turn 20. Bookbuilding gathers and evaluates investor demand during the offering process; it is not equivalent to completing the raise or receiving settled proceeds.

F Transfer answers 3-4

Page 66

3. nonbinding

Banker: "The indications are still nonbinding."

The revised figure retains the nonbinding status expressly supplied.

4. settled

Issuer: "This is not confirmation of settled funding."

No settlement has occurred, so the demand update does not establish received funds.

08 Briefing and language checks

Protecting the boundary between banking and investment teams

A Briefing checks / page 67

1. Why is the public rumor insufficient here?

D. It does not authorize confirmation from confidential material
Speculation in public does not itself release private information or authorize confirmation.

2. Who requested the information?

D. A colleague in an investment team
The brief identifies an internal investment colleague seeking information for a portfolio decision.

3. What permission is supplied?

D. No permission to disclose or trade
The case explicitly leaves disclosure and trading permission unestablished.

D Language checks / page 72

1. Which reply maintains the boundary?

A. I cannot confirm confidential matters; please use compliance
This response avoids confirmation or leakage and routes the request appropriately.

2. What should determine access?

A. The legitimate authorized purpose and applicable controls
Need-to-know access depends on purpose and authority, not mere internal status.

3. What should happen after accidental receipt of sensitive material?

B. Report promptly through the actual process and preserve records as directed
The appropriate response is controlled escalation and record handling rather than dissemination, trading, or concealment.

4. Which statement about a rumor is correct?

B. Public speculation does not itself authorize private confirmation
A confirmation or hint can disclose information even without forwarding the source document.

08 Conversation answers

Protecting the boundary between banking and investment teams

E Dialogue gaps 1-5

Pages 73-74

1. client confidentiality. Turn 2. Client confidentiality protects the relevant transaction information and is not removed by an internal colleague's interest in a public rumor.

2. information barrier. Turn 4. The information barrier governs communication and use, so a verbal hint can breach the boundary even when documents are not forwarded.

3. need-to-know access. Turn 6. Need-to-know access depends on a legitimate authorized purpose, not merely on being employed by the same organization or wanting a trading advantage.

4. compliance escalation. Turn 8. Compliance escalation routes the uncertainty to the designated review process without letting the employee improvise permission to disclose or use the information.

5. public dissemination. Turn 10. Public dissemination concerns whether the relevant information has actually become public under the applicable standard, which speculation alone does not establish.

F Transfer answers 1-2

Page 75

1. receipt

Employee: "This appears to be an accidental receipt."

The material reached the employee unintentionally and does not establish authorized use.

2. redistribute

Compliance: "Do not redistribute it beyond the authorized process."

The case provides no permission to circulate the confidential deck further.

E Dialogue gaps 6-10

Pages 73-74

6. material nonpublic information. Turn 12. Material nonpublic information requires the relevant legal assessment; uncertainty is not permission to disclose or trade on confidential transaction knowledge.

7. wall-crossing. Turn 14. Wall-crossing is a controlled process under actual rules, not informal permission created by a colleague asking to hear the information.

8. restricted list. Turn 16. A restricted list is itself controlled compliance information and its status should not be disclosed casually as an indirect hint about a confidential matter.

9. public-side research. Turn 18. Public-side research must use information permitted for that activity, not confidential banking knowledge passed informally across the boundary.

10. record preservation. Turn 20. Record preservation keeps relevant evidence intact under the appropriate process and avoids concealment after an accidental disclosure or receipt.

F Transfer answers 3-4

Page 75

3. channel

Employee: "I will report the issue through the designated channel."

The actual compliance route should handle the incident and next steps.

4. instructions

Compliance: "Follow the applicable record-preservation instructions."

Relevant records should be handled under the proper process rather than concealed or altered.

09 Conversation answers

Explaining currency exposure without promising a perfect hedge

E Extended conversation

Pages 76-77

1. reporting currency. Turn 4. The reporting currency is the currency in which the result is expressed, which can differ from the denomination of the underlying assets.

2. currency exposure. Turn 6. Currency exposure is sensitivity to exchange-rate movements, distinct from the underlying asset's local-currency performance.

3. currency hedge. Turn 8. A currency hedge addresses specified exchange-rate exposure under its actual terms and does not eliminate every investment risk or implementation cost.

4. hedge ratio. Turn 10. The hedge ratio relates the hedge amount to the defined exposure and needs a stated basis rather than an assumption of complete coverage.

5. basis risk. Turn 14. Basis risk arises when the hedging instrument and the exposure do not move in a perfectly matching way under the relevant circumstances.

6. return decomposition. Turn 18. Return decomposition separates the defined components of performance under a stated method rather than conflating asset movement with currency effects.

F Transfer exchange

Page 78

1. local

Client: "The supplied gain is in the local currency."

The brief identifies the asset's local-currency result, not a dollar result.

2. rate

Specialist: "The dollar result also depends on the exchange rate."

Currency translation requires the actual exchange-rate movement for the period.

3. established

Client: "A positive dollar return is not established."

The missing currency movement prevents a conclusion about the dollar outcome.

4. distinct

Specialist: "Keep the two measurement bases distinct."

Local-currency and dollar returns answer different measurement questions and should remain labeled.

Background reading: Investor.gov. International investing.. The conversation is an original fictional teaching case.

10 Conversation answers

Reconciling a partial fill before replacing an order

E Extended conversation

Pages 79-80

1. partial fill. Turn 4. A partial fill means only part of the order has executed, here five hundred of the one thousand shares.

2. cancellation request. Turn 6. A cancellation request is an instruction awaiting the relevant confirmation and must not be treated as proof that the remaining order is canceled.

3. execution record. Turn 8. The execution record identifies completed fills and is needed to establish the current status rather than relying only on a sent message.

4. remaining quantity. Turn 10. The remaining quantity is the unfilled part of the original order, whose live or canceled status still needs confirmation here.

5. Settlement. Turn 14. Settlement concerns completion of the relevant cash and securities transfer and is distinct from an order being placed or a trade being executed.

6. audit trail. Turn 16. The audit trail preserves the sequence of instructions, executions, and confirmations instead of rewriting the history to match an intended outcome.

F Transfer exchange

Page 81

1. unfilled

Trader: "Five hundred shares remain unfilled."

The supplied remainder has not been reported as executed.

2. requested

Operations: "The cancellation has been requested, not confirmed."

Sending the request does not establish that the cancellation completed.

3. status

Trader: "We must verify the current order status."

The live or canceled state must be checked through the actual process.

4. trail

Operations: "Preserve the full audit trail."

The instruction and confirmation sequence should remain intact and traceable.

Background reading: Investor.gov. Executing an order.. The conversation is an original fictional teaching case.

11 Conversation answers

Clarifying a floating-rate financing illustration

E Extended conversation

Pages 82-83

1. spread. Turn 4. The spread is the two-percentage-point addition to the benchmark in the supplied illustration, not the complete borrowing rate.

2. benchmark rate. Turn 6. The benchmark rate is the reference component, whose future changes and application depend on the actual financing terms.

3. reset convention. Turn 8. The reset convention specifies how and when the floating-rate component is updated and cannot be inferred from a single quoted benchmark value.

4. all-in cost. Turn 10. All-in cost requires the relevant fees and economic terms to be included under a stated method, which the before-fees illustration does not provide.

5. indicative proposal. Turn 14. An indicative proposal presents terms for discussion and must not be reported as a committed facility when no commitment is supplied.

6. conditions precedent. Turn 16. Conditions precedent are specified requirements that must be satisfied for the relevant contractual step, and their completion cannot be assumed from a proposal.

F Transfer exchange

Page 84

1. points

CFO: "The spread remains two hundred basis points."

Two hundred basis points remains a two-percentage-point addition in the illustration.

2. percent

Banker: "The benchmark is now five percent."

The scenario explicitly changes the reference rate to five percent.

3. seven

CFO: "The illustrated rate is seven percent."

Five percent plus two percentage points equals seven percent under the stated exclusions.

4. fees

Banker: "That figure still excludes fees."

The supplied arithmetic remains before fees rather than a complete all-in cost.

Find the move you need

Use these as precise language models. Replace details only when you know the actual facts, authority, and agreed conditions.

01 Clarifying an institutional investment mandate

Separate horizons: The growth objective and the committed payment have different time horizons.

Confirm authority: Which body can approve the mandate and any changes?

Close the intake: We have clarified requirements, not approved an allocation or trade.

Full phrase set: pages 7-8 | Dialogue: pages 10-11

02 Explaining portfolio positioning and concentration

Name the reference: The technology weight is above the benchmark by eight percentage points.

Look through the count: Forty securities do not necessarily mean forty independent risk sources.

Define the next step: We need the risk analysis before deciding whether an adjustment is authorized.

Full phrase set: pages 16-17 | Dialogue: pages 19-20

03 Presenting performance on a comparable basis

Correct the headline: The two-point difference is gross; net excess is one point.

Distinguish experiences: Portfolio performance may differ from an investor's cash-flow return.

Limit the promise: Past performance does not guarantee the next period's result.

Full phrase set: pages 25-26 | Dialogue: pages 28-29

04 Defending an investment thesis under committee challenge

State the thesis: The case depends on retention and the stated growth assumptions.

Separate outputs: This is the base-case result, not a probability-weighted expectation.

Close the review: I will return with the evidence, revised sensitivities, and a clear decision request.

Full phrase set: pages 34-35 | Dialogue: pages 37-38

Keep the conversation productive

Use these as precise language models. Replace details only when you know the actual facts, authority, and agreed conditions.

05 Explaining enterprise value and the equity bridge

Label the headline: The one-hundred-twenty-million figure is enterprise value.

Separate proceeds: Equity value is not automatically the sellers' after-tax cash receipt.

Preserve exclusions: This illustration does not include other transaction adjustments.

Full phrase set: pages 43-44 | Dialogue: pages 46-47

06 Challenging revenue quality in transaction diligence

Test the label: What evidence supports calling this revenue contracted and recurring?

Avoid an accusation: We have not reviewed the contract; we have not established that no contract exists.

Report the gap: The document request is open, and the slide label needs qualification.

Full phrase set: pages 52-53 | Dialogue: pages 55-56

07 Explaining capital-raising demand and proceeds

Label the demand: These are nonbinding indications on the current provisional basis.

Preserve conditions: Demand may change with price and final terms.

Close the update: We can report indicated demand while keeping funding and execution risk visible.

Full phrase set: pages 61-62 | Dialogue: pages 64-65

08 Protecting the boundary between banking and investment teams

Decline without hinting: I cannot confirm or discuss confidential transaction information.

Avoid rumor logic: A public rumor does not make our private information public.

Keep roles distinct: Portfolio analysis must use information permitted for that activity.

Full phrase set: pages 70-71 | Dialogue: pages 73-74

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

accidental receipt report accidental receipt 69
action owner confirm the action owner 6
action owner confirm the action owner 15
action owner confirm the action owner 24
action owner confirm the action owner 33
action owner confirm the action owner 42
action owner confirm the action owner 51
action owner confirm the action owner 60
action owner confirm the action owner 69
active weight explain the active weight 14
add-back substantiate an add-back 41
allocation confirm the allocation 59
allocation effect explain the allocation effect 23
annual recurring revenue define annual recurring revenue 50
annualized return distinguish annualized return 23
asset allocation review asset allocation 14
backlog analyze backlog 50
base case defend the base case 32
basis point report the change in basis points 14
benchmark weight compare the benchmark weight 14
best efforts clarify best-efforts terms 60
bookbuilding conduct bookbuilding 59
bookings reconcile bookings 50
capital preservation discuss capital preservation 5

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

cash-flow schedule reconcile the cash-flow schedule 6
cash-free debt-free clarify cash-free debt-free pricing 41
catalyst identify a potential catalyst 32
check-back complete a check-back 6
check-back complete a check-back 15
check-back complete a check-back 24
check-back complete a check-back 33
check-back complete a check-back 42
check-back complete a check-back 51
check-back complete a check-back 60
check-back complete a check-back 69
clarification request make a targeted clarification request 6
clarification request make a targeted clarification request 15
clarification request make a targeted clarification request 24
clarification request make a targeted clarification request 33
clarification request make a targeted clarification request 42
clarification request make a targeted clarification request 51
clarification request make a targeted clarification request 60
clarification request make a targeted clarification request 69
client confidentiality preserve client confidentiality 68
client governing body identify the client governing body 6
comparable companies select comparable companies 42
compliance escalation initiate compliance escalation 68
composite explain the composite definition 24

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

concentration risk assess concentration risk 14
conflict of interest identify a conflict of interest 68
contracted recurring revenue substantiate contracted recurring revenue 50
correlation assess correlation 14
cumulative return report cumulative return 23
customer cohort specify the customer cohort 51
customer concentration assess customer concentration 50
data room update the data room 50
deal team identify the authorized deal team 69
debt-like item identify debt-like items 41
decision record maintain a decision record 33
deferred revenue distinguish deferred revenue 50
diligence red flag escalate a diligence red flag 51
diligence request list maintain the diligence request list 50
diluted share count verify the diluted share count 42
discount rate justify the discount rate 33
discounted cash flow review the discounted cash flow 33
discretionary authority confirm discretionary authority 6
diversification evaluate diversification 14
downside case model the downside case 32
drawdown report the drawdown 24
due diligence conduct due diligence 50
EBITDA define EBITDA 41
eligible cash verify eligible cash 41

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

enterprise value distinguish enterprise value 41
equity bridge prepare the equity bridge 41
equity value reconcile equity value 41
EV-to-EBITDA compare EV-to-EBITDA 41
excess return calculate excess return 23
factor exposure examine factor exposure 14
firm commitment distinguish firm-commitment underwriting 60
free cash flow define free cash flow 33
gross return label the gross return 23
gross revenue retention compare gross revenue retention 51
indication of interest record an indication of interest 59
information barrier maintain the information barrier 68
interaction effect label the interaction effect 23
investment constraint document investment constraints 5
investment mandate define the investment mandate 5
investment objective clarify the investment objective 5
investment policy statement review the investment policy statement 5
investment thesis articulate the investment thesis 32
issuer identify the issuer 59
issuer proceeds reconcile issuer proceeds 59
last-twelve-month revenue reconcile last-twelve-month revenue 50
liability matching discuss liability matching 6
liquidity requirement identify the liquidity requirement 5
look-through exposure review look-through exposure 15

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

management representation attribute management representations 51
mandate amendment approve a mandate amendment 6
margin of safety explain the margin of safety 32
material nonpublic information identify potential material nonpublic information 68
measurement period align the measurement period 24
money-weighted return distinguish money-weighted return 23
need-to-know access restrict need-to-know access 68
net debt reconcile net debt 41
net return present the net return 23
net revenue retention define net revenue retention 51
noncontrolling interest assess noncontrolling interest 42
normalized EBITDA review normalized EBITDA 41
offering price agree the offering price 59
order book assess the order book 59
overallotment option explain the overallotment option 60
overweight maintain an overweight position 14
percentage point distinguish percentage points 14
performance attribution review performance attribution 23
portfolio weight calculate the portfolio weight 14
position limit check the position limit 15
position sizing review position sizing 33
precedent transactions analyze precedent transactions 42
preclearance obtain required preclearance 68
preferred capital account for preferred capital 42

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

price range update the price range 59
primary shares distinguish primary shares 59
probability weight justify a probability weight 32
prospectus review the prospectus 60
public dissemination verify public dissemination 68
public-side research use public-side research 69
quality of earnings review quality of earnings 50
rebalancing assess rebalancing 15
record preservation follow record-preservation requirements 69
registration statement identify the registration statement 60
repeat purchase distinguish repeat purchases 50
reporting currency confirm the reporting currency 24
restricted access log maintain the restricted access log 69
restricted asset identify restricted assets 5
restricted list follow restricted-list controls 68
return objective qualify the return objective 5
revenue cutoff test revenue cutoff 51
risk budget use the risk budget 15
risk capacity distinguish risk capacity 5
risk tolerance assess risk tolerance 5
roadshow prepare the roadshow 59
scenario analysis present scenario analysis 32
scope boundary state the scope boundary 6
scope boundary state the scope boundary 15

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

scope boundary state the scope boundary 24
scope boundary state the scope boundary 33
scope boundary state the scope boundary 42
scope boundary state the scope boundary 51
scope boundary state the scope boundary 60
scope boundary state the scope boundary 69
secondary shares identify secondary shares 59
selection effect identify the selection effect 23
selective disclosure assess selective-disclosure concerns 68
seller proceeds distinguish seller proceeds 42
sensitivity analysis run sensitivity analysis 32
simulated performance disclose simulated performance 24
source attribution preserve source attribution 6
source attribution preserve source attribution 15
source attribution preserve source attribution 24
source attribution preserve source attribution 33
source attribution preserve source attribution 42
source attribution preserve source attribution 51
source attribution preserve source attribution 60
source attribution preserve source attribution 69
spending policy review the spending policy 5
stress scenario run a stress scenario 15
suitability assessment complete the suitability assessment 6
terminal value test terminal value assumptions 33

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

thesis breaker define a thesis breaker 32
time horizon distinguish the time horizon 5
time-weighted return explain time-weighted return 23
total return compare total returns 23
tracking error interpret tracking error 15
trade restriction observe a trade restriction 69
underweight describe an underweight position 14
underwriter confirm the underwriter role 59
underwriting agreement review the underwriting agreement 60
upside case distinguish the upside case 32
valuation multiple select a valuation multiple 41
valuation range present a valuation range 32
variant perception explain the variant perception 32
volatility contextualize volatility 24
wall-crossing follow the wall-crossing process 68
watch list protect watch-list confidentiality 68
working assumption challenge a working assumption 6
working assumption challenge a working assumption 15
working assumption challenge a working assumption 24
working assumption challenge a working assumption 33
working assumption challenge a working assumption 42
working assumption challenge a working assumption 51
working assumption challenge a working assumption 60
working assumption challenge a working assumption 69

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These are original fictional teaching conversations, not transcripts of real workers. Names, figures, organizations, and incidents are invented. Sources support terminology and communication aims, not the fictional results or an endorsement of this book.

[1] Investor.gov. Asset allocation and diversification.

Open the original source

Background on objectives, time horizon, risk, and diversification; no model allocation is recommended here. Checked 11 October 2026.

[2] CFA Institute. Code and Standards.

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Professional communication context, including performance presentation, reasonable basis, confidentiality, and material nonpublic information. The code is not a substitute for applicable law. Checked 11 October 2026.

[3] Aswath Damodaran, NYU Stern. What is debt?

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Background for consistent treatment of debt and cash in valuation; the exercise bridge explicitly excludes other adjustments. Checked 11 October 2026.

[4] SEC. Investor Bulletin: Investing in an IPO.

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Background on offering documents, indications of interest, pricing, and selling shareholders. No historical thresholds or filing deadlines from the bulletin are reproduced as current rules. Checked 11 October 2026.

Phil Stilwell

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